



ARCOTECH LTD.

Regd. Office/Works : 181, Sector-3, Industrial Growth Centre
Bawal-123501, Distt. Rewari, Haryana, Ph.: 01284-264160 / 61, Fax: 01284-264022

2nd September, 2019

Bombay Stock Exchange Ltd. Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai-400001 Fax No. 022 2272 3121 <u>Scrip ID: ARCOTECH, Scrip Code: 532914</u>	National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex. Bandra(E), Mumbai-400051 Fax No. - 022-26598237/38 <u>Symbol: ARCOTECH, Series: EQ</u>
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Sub: Submission of Annual Report under Regulation 34 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

Pursuant to Regulation 34(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are submitting herewith the Annual Report along with the Notice of the Annual General Meeting of the Company for the Financial year 2018-19 scheduled to be held on Thursday, 26th September, 2019 at 181, Sector-3, Industrial Growth Centre, Bawal, Distt Rewari, Haryana-123501.

Kindly take the same on records and acknowledge.

Yours truly,
FOR ARCOTECH LIMITED

KRISHAN KUMAR MISHRA
COMPANY SECRETARY
ENCL: A/A

Note: The business of this meeting may be transacted through electronic voting system.

NOTICE

Notice is hereby given that the 38th Annual General Meeting of the Company will be held on Thursday the **26th day of September, 2019 at 11.00 A.M.** at the Registered Office of the Company situated at 181, Sector-3, Industrial Growth Centre, Bawal, Distt Rewari, Haryana-123501 to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the Financial Statements of the Company for the year ended 31st March, 2019 including Audited Balance Sheet as at 31st March, 2019 and the Statement of Profit and Loss for the year ended and Cash Flow statement as on that date and the reports of the Board of Directors ("the Board") and Auditors thereon.
2. To appoint a Director in place of Shri Radha Nath Pattnayak (DIN-01189370), who retires by rotation and, being eligible, offers himself for re-appointment.

SPECIAL BUSINESS

ITEM NO. 3

Reappointment of Mr. Rameshwar Dayal Tayal (DIN-00021148) as an Independent Director for a second Consecutive Term of 5 Years.

To consider and, if thought fit, to pass with or without modification(s), the following resolution as **SPECIAL RESOLUTION:-**

"RESOLVED THAT pursuant to the provisions of Section 149 and 152 and other applicable provisions of the Companies Act, 2013, Companies (Appointment and Qualifications of Directors) Rules, 2014 read with Schedule IV of the said Act and Regulation 16(1) (b) and 17(1A) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015, including any amendments, statutory modifications and/or re-enactments thereof for time being in force and on the basis of recommendation of Nomination and remuneration committee, Mr. Rameshwar Dayal Tayal (DIN-00021148), be and is hereby re-appointed as an Independent Director of the Company for a second consecutive term of five (5) Years up to the conclusion of 43rd Annual General Meeting of the company in the calendar year 2024, not liable to retire by rotation.

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds and things as may be deemed proper and expedient to give effect to this Resolution."

ITEM NO. 4

Reappointment of Ms. Sonia Dube (DIN-01994475) as an Independent Director for a second Consecutive Term of 5 Years.

To consider and, if thought fit, to pass with or without modification(s), the following resolution as **SPECIAL RESOLUTION:-**

"RESOLVED THAT pursuant to the provisions of Section 149 and 152 and other applicable provisions of the Companies Act, 2013, Companies (Appointment and Qualifications of Directors) Rules, 2014 read with Schedule IV of the said Act and Regulation 16(1) (b) and 17(1A) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015, including any amendments, statutory modifications and/or re-enactments thereof for time being in force and on the basis of recommendation of Nomination and remuneration committee, Ms. Sonia Dube (DIN-01994475), be and is hereby re-appointed as an Independent Director of the Company for a second consecutive term of five (5) Years up to the conclusion of 43rd Annual General Meeting of the company in the calendar year 2024, not liable to retire by rotation.

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds and things as may be deemed proper and expedient to give effect to this Resolution."

ITEM NO. 5

Continuation of Directorship of Mr. S L Mohan

To consider and, if thought fit, to pass with or without modification(s), the following resolution as **SPECIAL RESOLUTION:-**

"RESOLVED THAT pursuant to Regulation 17(1A) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, other applicable provisions, if any, of the Companies Act, 2013 and the applicable Rules made thereunder, including any amendment(s), statutory modification(s) and/or re-enactment thereof for the time being in force, approval of the Members of the Company be and is hereby granted to Mr. S L Mohan (DIN 00028126), who will attain the age of seventy five (75) years on 10th February, 2020 to continue to be a Non-Executive Independent Director of the Company up to conclusion of Annual General Meeting to be held in FY 2020, being the date of expiry of his current term of office."

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all acts, deeds, matters or things as may be deemed proper and expedient to give effect to this Resolution."

ITEM NO. 6

To consider and, if thought fit, to pass with or without modification(s), the following resolution as an **ORDINARY RESOLUTION:-**

"RESOLVED THAT pursuant to the provisions of Section-148 and all other applicable provisions, if any, of the Companies Act, 2013 read with Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof, for the time being in force), the Cost Auditor appointed by the Board of Directors of the Company, to conduct the audit of the cost records of the Company for the financial year ending March 31, 2020, be paid the remuneration of Rs. 40,000 plus GST and out of pocket expenses.

"RESOLVED FURTHER THAT the Board of Directors of the company be and is hereby authorized to take steps as may be necessary or expedient to give effect to this resolution."

**By Order of the Board of Directors
For Arcotech Limited**

**(Krishan Kumar Mishra)
Company Secretary
A25496**

Place: New Delhi
Date: 13th August, 2019

Registered Office:

181, Sector-3, Industrial Growth Centre
Bawal, District-Rewari, Haryana-123501
Tel: 01284-464160/161, Fax: 01284-264024
CIN: L34300HR1981PLC012151
Email: contact@arcotech.in , investors@arcotech.in
Website: www.arcotech.in

NOTES:

As Arcotech Limited, being a listed company and having more than 1000 shareholders, is compulsorily required to provide e-voting facility to members in terms of Section 108 of the Companies Act 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 and Regulation 44 of the SEBI (Listing Obligation and Disclosure Requirement) Regulations, 2015, Voting by show of hands will not be available to the members at the 38th AGM in view of the further provisions of Section 107 read with Section 114 of the Act.

1. The relative Explanatory Statement pursuant to Section 102 of the Companies Act, 2013, with respect to the special business set out in Item No(s) 3 to 6 above, are annexed hereto and forms part of notice.
2. **A MEMBER ENTITLED TO ATTEND AND VOTE AT THE ANNUAL GENERAL MEETING IS ENTITLED TO APPOINT A PROXY OR WHERE ALLOWED, ONE OR MORE PROXIES, TO ATTEND AND VOTE ON A POLL INSTEAD OF HIMSELF AND SUCH PROXY NEED NOT BE A MEMBER OF THE COMPANY.**
3. A person can act as proxy on behalf of members not exceeding fifty (50) and holding in the aggregate not more than ten percent of the total share capital of the company carrying voting rights.
A member holding more than ten percent of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person shall not act as proxy for any other person or shareholder.
4. The appointment of proxy shall be in Form-MGT-11 (attached herewith) and the instrument of Proxy, in order to be effective, should be deposited at the Registered Office of the Company, duly completed and signed, not less than 48 hours before the commencement of the meeting. Proxies submitted on behalf of limited companies, societies, etc., must be supported by appropriate board resolutions/ authority, as applicable.
5. The Register of Members and the Share Transfer Books of the Company shall remain closed from **20th September, 2019 to 26th September, 2019** (both days inclusive).

6. VOTING THROUGH ELECTRONIC MEANS:***In case of members receiving e-mail:***

- (i) Log on to the e-voting website www.evotingindia.com, Click on "Shareholders" tab.
- (ii) Now, select ARCOTECH LIMITED from the drop down menu and click on "SUBMIT".
- (iii) Now Enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Members holding shares in Physical Form should enter Folio Number registered with the Company.
- (iv) Next enter the Image Verification as displayed and Click on Login.
- (v) If you are holding shares in demat form & had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.
- (vi) If you are a first time user follow the steps given below:

	<i>For Members holding shares in Demat Form and Physical Form</i>
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both Demat shareholders as well as physical shareholders) - Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number in the PAN Field. - In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters. E.g. If your name is Ramesh Kumar with sequence number 1 then enter RA00000001 in the PAN Field. - Sequence number is communicated in the Attendance Slip/ Covering Letter.
DOB	Enter the Date of Birth as recorded in your demat account or in the company records for the said demat account or folio in dd/mm/yyyy.
Dividend Bank Details	Enter the Dividend Bank Details as recorded in your demat account or in the company records for the said demat account or folio. Please enter the DOB or Dividend Bank Details in order to login. If the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field.

- (vii) After entering these details appropriately, click on "SUBMIT" tab.
- (viii) Members holding shares in physical form will then reach directly the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.
- (ix) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- (x) Click on the EVSN for the ARCOTECH LIMITED on which you choose to vote.
- (xi) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- (xii) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.
- (xiii) After selecting the resolution you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.
- (xiv) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.
- (xv) You can also take out print of the voting done by you by clicking on "Click here to print" option on the Voting page.
- (xvi) If Demat account holder has forgotten the changed password then enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

- Institutional shareholders (i.e. other than Individuals, HUF, NRI etc.) are required to log on to <https://www.evotingindia.com.in> and register themselves as Corporates.
- They should submit a scanned copy of the Registration Form bearing the stamp and sign of the entity to helpdesk.evoting@cdslindia.com.
- After receiving the login details they have to create a user who would be able to link the account(s) which they wish to vote on.
- The list of accounts should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
- They should upload a scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, in PDF format in the system for the scrutinizer to verify the same.

(xvii) Shareholders can also cast their vote using CDSL's mobile app m-Voting available for android based mobiles. The m-Voting app can be downloaded from Google Play Store. Apple and Windows phone users can download the app from the App Store and the Windows Phone Store respectively on or after 30th June 2016. Please follow the instructions as prompted by the mobile app while voting on your mobile.

In case of members receiving the physical copy:

Please follow all steps from **SL. No. (i) to SL. No. (xvii)** above to cast vote.

- In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions ("FAQs") and e-voting manual available at www.evotingindia.co.in under help section or write an email to helpdesk.evoting@cdslindia.com
- The voting period begins on 23th September, 2019 (9.00am) and ends on 25th September, 2019 (5.00 pm). During this period Members of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of 19th September, 2019, may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter. Once the vote on a resolution is cast by the Member, the Member shall not be allowed to change it subsequently. At the end of the voting period, the portal where votes are cast shall forthwith be blocked.
- The voting rights of Members shall be in proportion to their share of the paid-up equity share capital of the Company as on the cut-off date (record date) of 19th September, 2019.
- Mr. Saurabh Agrawal c/o M/s. Saurabh Agrawal & Co., Company Secretaries, 403, Nirmal Tower, 26, Barakhamba Road, Connaught place, New Delhi-110001 has been appointed as the Scrutinizer to scrutinize the e-voting process in a fair and transparent manner.
- The Scrutinizer shall, within a period of not exceeding three (3) working days from the conclusion of the e-voting period, unblock the votes in the presence of at least two (2) witnesses not in the employment of the Company and make a Scrutinizer's Report of the votes cast in favour or against, if any, forthwith to the Chairman of the company.
- The Results shall be declared on or after AGM of the Company. The Results declared along with Scrutinizer's Report shall be placed on the Company's website www.arcotech.in and on the website of CDSL within two (2) days of passing of the resolutions at the AGM of the Company and communicated to the Stock Exchanges.

- Members holding shares in physical form are requested to inform any change of address, Email -id, Bank details etc. immediately to the Company's Registrar and Share Transfer Agent, M/s. Maheshwari Datamatics Pvt Ltd, 23, R N Mukharjee Road, 5th floor, Kolkata-700001. Members holding shares in electronic form are requested to inform any change of address, Email -id, bank details etc. immediately to their respective depository participants.***
- Members holding shares in physical form are requested to write the Company's Registrar and Share Transfer Agent, M/s. Maheshwari Datamatics Pvt Ltd, 23,R N Mukharjee Road,5th floor, Kolkata-700001 to register the E-mail id (of only first/sole holder), Permanent Account No. (PAN No.) Unique Identification No. (AADHAR No.), Mother's/Father's/Husband's name, Occupation, In case Member is a minor, Name of the guardian and date of birth of the member and CIN No. (In case member is a body corporate)***
- At the Venue of AGM, voting shall be done through ballot papers and the members attending AGM who have not casted their vote by e-voting shall be entitled to cast their vote through Ballot papers.***
- Members attending the meeting who have not already cast their vote by e-voting shall be able to exercise their right at the meeting and that the members who have cast their vote by e-voting prior to the meeting may also attend the meeting but shall not be entitled to cast their vote again.***
- Persons who have acquired shares and become members of the Company after dispatch of Notice of AGM but before cut-off date of 19th September, 2019, may obtain their USER ID and password for e-voting from M/s Maheshwari Datamatics Pvt Ltd 23,R N Mukharjee Road,5th Floor, Kolkata-700001.***
- The Securities and Exchange Board of India (SEBI) has mandated the submission of Permanent Account Number (PAN) by every participant in securities market. Members holding shares in electronic form are, therefore, requested to submit their PAN to their Depository Participants with whom they are maintaining their demat accounts. Members holding shares in physical form can submit their PAN to the STA i.e. M/s. Maheshwari Datamatics Pvt Ltd, 23,R N Mukharjee Road,5th Floor, Kolkata-700001
- All documents referred to in the above notice and the explanatory statement shall be open for inspection at the Registered Office of the Company between 10.00 A.M. and 6.00 P.M. on all working days upto and including the date of Annual General Meeting of the Company.
- Electronic copy of the Annual report is being sent to all the members whose email IDs are registered with the Company/ Depository Participants(s) unless any member has requested for a hard copy of the same. For members who have not registered their email address, physical copies of the Annual report is being sent in the permitted mode.
- Members who have not registered their e-mail addresses so far are requested to register their e-mail addresses through their Depository Participants for sending the future communications by e-mail. Members holding the shares in physical form may register their e-mail addresses through the RTA, giving reference of their Folio Number.
- Members may also note that the Annual Report and notice for FY 2018-19 will also be available on the Company's website www.arcotech.in for their download.
- Members are requested to bring their copies of Annual Report to the meeting, as the same will not be supplied again at the meeting as a measure of economy.

18. The Register of Directors and Key Managerial personnel and their shareholding, maintained u/s170 of the Companies Act, 2013 will be available for inspection at the registered office of the Company between 10.00 A.M. and 6.00 P.M. on all working days up to the date of meeting and at the commencement of the Meeting and remain open and accessible during the continuance of the meeting.
19. The Register of Contracts, maintained u/s 189 of the Companies Act, 2013 will be available for inspection at the registered office of the Company between 10.00 A.M. and 6.00 P.M. on all working days up to the date of meeting and at the commencement of the Meeting and remain open and accessible during the continuance of the meeting.
20. Members / Proxies should bring the attendance slip duly filled in for attending the meeting.
21. Members desiring any information or clarifications on the Annual Report are requested to write to the Company at its Registered Office at least 15 days before the date of Annual General Meetings of the same may be attended to, well in advance.
22. Members are already aware that the Company had appointed M/s. Maheshwari Datamatics Pvt Ltd, 23,R N Mukharjee Road,5th floor, Kolkata-700001, as Share Transfer Agent (STA), both for electronic connectivity and Share Transfer work. Members can make correspondence with STA for Share Transfer requests and change of address related queries at mdpldc@yahoo.com.
23. Members having multiple accounts in identical names or joint accounts in the same order are requested to intimate the Company / STA, the ledger folio of such accounts to enable the Company to consolidate all such shareholdings in to one account.
24. **Pursuant to the prohibition imposed vide Secretarial Standard on General Meeting (SS-2) issued by the ICSI and the MCA Circular, no gifts/ coupons shall be distributed at the meeting.**
25. The Company is registered with the following depositories for dematerialization of its Equity Shares:-
 - i) National Securities Depository Ltd. (NSDL) at Trade World, 4th Floor, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai- 400013
 - ii) Company has designated Central Depository Services (India) Ltd CDSL as a Designated Depository, situated at Phiroze Jeejeebhoy Towers, 16th Floor, Dalal Street, Mumbai-400001
26. Pursuant to regulation 36 of the SEBI (Listing obligation and Disclosure Requirement) Regulations, 2015, the brief profile of Director's eligible for re-appointment vide item no.3 & 4 is given herein below:

Name of the Director	Mr. Rameshwar Dayal Tayal	Ms. Sonia Dube
DIN No.	00021148	01994475
Date of Birth	30.11.1953	06.05.1974
Qualification	Bachelors' degree in commerce from Delhi University	Bachelors' degree in Law (LLB) from Kanpur
First date of Appointment	12.11.2005	12.08.2014
Expertise in Specific Functional Areas	He is expertise in Finance and worked in ITC Group for 25 Years as a President. The Company has immensely benefitted from his rich experience, knowledge, guidance and expertise especially in the field of accounts and audit.	She possesses appropriate skills, experience and knowledge in legal. Presently, she is associated with one of the leading law firm named as Legal option situated as New Delhi. She contributes, advises and provides valuable suggestions on various items discussed in the meetings of the Board and Committee.
Directorship held in other listed entities	NIL	NIL
Chairmanship/ Membership of Committees (across all public Cos.)	Member in following committees of Arcotech Limited - Audit Committee - Nomination and Remuneration Committee - Stakeholders Relationship Committee	Member in following committees of Arcotech Limited - Audit Committee - Stakeholders Relationship Committee
Number of Shares held in the Company	NIL	NIL
Relationship with any Director(s) of the Company	No	No

ANNEXURE TO NOTICE

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013

ITEM NO. 3 & 4

Re-appointment of Mr. Rameshwar Dayal Tayal and Ms. Sonia Dube as the Independent Directors of the Company for a second consecutive term.

Mr. Rameshwar Dayal Tayal (DIN : 00021148), and Ms. Sonia Dube (DIN: 01994475) were appointed as Independent Directors of the Company to hold office up to conclusion of 38th Annual General Meeting to be held on 2019.

Pursuant to the provisions of Section 149 of the Companies Act, 2013, a person can be reappointed as an Independent Director for a second consecutive term with the approval of the Members by way of special resolution. Further, Regulation 17 (1A) of SEBI (Listing Obligations and Disclosure Requirements) (Amendment) Regulations, 2018 requires that any Non-Executive Director who has attained the age of 75 years or more cannot be appointed or continue as a Non-Executive Director in any listed company, unless a special resolution is passed to that effect.

The Board of Directors, at its meeting held on August 13, 2019 has reappointed Mr. Rameshwar Dayal Tayal and Ms. Sonia Dube for a second consecutive term of five (5) years with effect from conclusion of ensuing Annual General Meeting to be held on 26th September 2019. Profiles and justification of Mr. Rameshwar Dayal Tayal and Ms. Sonia Dube for their reappointment as Independent Directors are mention below:

(i) Mr. Rameswar Dayal Tayal

Mr. Rameswar Dayal Tayal was born in Delhi on November 30, 1953. He holds a Bachelors' degree in commerce from Delhi University and Expertise in Finance. He worked in ITC Group for 25 Years as a President. Mr. Tayal joined the Board of Directors of the Company in the year 2005. The Company has immensely benefitted from his rich experience, knowledge, guidance and expertise especially in the field of accounts and audit. He has been providing valuable suggestions to the Company's management and expresses his views articulately. He is physically fit and has been actively participating in all the Board Meetings of the company.

Mr. Tayal also serves as a Chairman of Audit Committee, Nomination & Remuneration Committee and Stakeholders' Relationship Committee of your company.

(ii) Ms. Sonia Dube

Ms. Sonia Dube was born on May 06, 1974. She has Bachelors' degree in Law (LLB) from Kanpur.

Ms. Dube possesses appropriate skills, experience and knowledge; inter alia, in the field of legal matters. Presently, she is associated with one of the leading law firm named as Legal option situated as New Delhi. Ms. Dube regularly appears in the Supreme Court and High Courts of India,

Ms. Dube was appointed as an Independent Director for a term of five (5) years on 2014. Her vast experience, expertise and knowledge have benefitted the company. She contributes, advises and provides valuable suggestions on various items discussed in the meetings of the Board and Committee.

Ms. Dube also serves as a Member of Audit Committee, Nomination & Remuneration Committee, and Stakeholders Relationship Committee of your company.

Apart from the above information, additional disclosures as required pursuant to Regulation 36 (3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Secretarial Standards (SS-2) are stated in the table annexed above. Based on the performance evaluation of each of the aforesaid Directors, the Board found that the Directors were well qualified and had individually and collectively functioned constructively in the best interests of the Company. The Company has received declarations from the above said directors to the effect that they meet the criteria of independence as prescribed in Section 149(6) of the Act and Regulation 16(1) (b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. None of the above said directors are disqualified from being appointed as Directors in terms of Section 164 of the Act and have given their consent to act as Directors. Mr. Rameswar Dayal Tayal and Ms. Sonia Dube are not debarred from holding the office of Director pursuant to any SEBI order or any such authority.

Board recommends passing of the Special Resolutions as stated at Item no. 3 & 4 of the Notice for reappointment of the Independent Directors.

Except for the respective directors being interested in their own reappointments, none of the Directors and/or Key Managerial Personnel of the Company and their relatives is, in any way, concerned or interested, in the special resolution set out at item no. 3 & 4 of the Notice.

ITEM NO. 5

The Members of the Company at the Thirty Forth Annual General Meeting held on September 28, 2015 has appointed Mr. S L Mohan as an Independent Director of the Company for a term of five (5) consecutive years up to conclusion of Annual General Meeting to be held in FY 2020.

As the Members are aware, pursuant to the Regulation 17(1A) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter referred to as "the Listing Regulations"), effective from April 1, 2019, no listed entity shall appoint a person or continue the directorship of any person as a non-executive director who has attained the age of seventy five (75) years unless a special resolution is passed to that effect and the explanatory statement annexed to the notice proposing such appointment or continuation specifies the justification for such appointment or continuation, as the case may be.

Mr. S L Mohan will attain the age of seventy five (75) years on 10th February, 2020. Pursuant to Regulation 17(1A) of the Listing Regulations, the Special Resolution for continuation of their directorships up to conclusion of Annual General Meeting to be held in FY 2020, being the date of expiry of his current term of office will be required to be passed. The Board of Directors, at its meeting held on August 13, 2019, has unanimously decided the continuation of directorships of Mr. S L Mohan, up to conclusion of Annual General Meeting to be held in FY 2020, being the date of expiry of his current term of office.

Profiles and justification for continuation of the directorship for aforesaid Director are stated below:

Mr. S L Mohan, born on February 10, 1945, is a Non-Executive Independent Director of the Company, who was CMD at Oriental Insurance Co. Ltd possess vast experience in Insurance Sector. Mr. Mohan also holds directorships in reputed public companies like Jaiprakash Power Ventures Limited, Jaypee Fertilizers & Industries Limited, Religare Health Insurance Company Limited, Himalyan Expressway Limited, Majestic Auto Limited & Jaypee Healthcare Limited.

Mr. Mohan has been an active member of the Board and the Board Committees of which he is a member. He brings independent judgment on the Board of the Company and his continued association will be valuable and enriching. With his expertise, skills and knowledge the Company has benefited immensely. Mr. Mohan is physically fit, mentally alert and is vocal at the Board and Committee meetings. He provides his independent view in board and committee deliberations.

Except Shri S. L. Mohan, None of the Directors / Key Managerial Personnel of the Company / their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution set out at Item No. 5 of the Notice.

Yours Directors recommend Special resolution set out at Item No. 5 for approval.

ITEM NO.6

The Board on the recommendation of the Audit Committee has approved the appointment and remuneration of the Cost Auditor to conduct the audit of the cost records of the company for the financial year ending March 31, 2020 as per the following details:

Name of the Cost Auditor	Address	Firm Registration No	Industry	Audit fees (Rs. per annum)
M/s SS Chug & Co.	44-b, Jawahar Market, P.O. Partap Nagar, Distt Ropar, Nangal Dam, Punjab – 140125	101595	Non Ferrous Metals	40,000 plus service tax and out of pocket expenses

In accordance with the provisions of Section 148 of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014, the remuneration payable to the Cost Auditors has to be ratified by the shareholders of the Company.

Accordingly, consent of the members is sought for passing an Ordinary Resolution as set out in Item No. 6 of the Notice for ratification of the remuneration payable to the Cost Auditors for the financial year ending March 31, 2020.

None of the Directors / Key Managerial Personnel of the Company / their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution set out at Item No. 6 of the Notice.

Yours Directors recommend Ordinary resolution set out at Item No.6 for approval.

ARCOTECH LIMITED

CIN: L34300HR1981PLC012151

Registered Office: 181, Sector-3, Industrial Growth Centre, Bawal, District-Rewari, Haryana-123501

Tel: 01284-464160/161, Fax: 01284-264024

Corporate Office: F-701A, Lado Sarai, Mehrauli, New Delhi-110030

Tel: 01129523251, Fax: 01129523020

Email: contact@arcotech.in, investors@arcotech.in Website: www.arcotech.in

**FORM NO. MGT-11
PROXY FORM****Pursuant to section 105(6) of the Companies Act, 2013 and rule 19(3) of the Companies (Management and Administration) Rules, 2014**

Name of the member(s):

Registered Address:

Email Id:

Folio No/ Client ID:

DP ID-

I/We, being the member (s) of shares of the above named company, hereby appoint

- Name:..... Address:.....
..... Email Id:.....Signature:....., or failing him
- Name:..... Address:.....
..... Email Id:.....Signature:....., or failing him
- Name:..... Address:.....
..... Email Id:.....Signature:.....,

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the 38th Annual General Meeting of the company, to be held on Thursday, the 26th September, 2019 at 11.00 a.m. at the Registered Office of the Company situated at 181, Sector-3, Industrial Growth Centre, Bawal, Distt Rewari, Haryana-123501 and at any adjournment thereof in respect of such resolutions as are indicated below:

Sl. No.	Resolution	Resolution (Ordinary/	Optional*	
			For	Against
ORDINARY BUSINESS				
1	Adoption of Accounts.	Ordinary		
2	Re-appointment of Mr. Radha Nath Pattnayak, who retires by rotation and, being eligible, offers himself for re-appointment.	Ordinary		
SPECIAL BUSINESS				
3	Re-appointment of Mr. Rameshwar Dayal Tayal (DIN:00021148) as an Independent Director of the company for a second consecutive term of 5 years.	Special		
4	Re-appointment of Ms. Sonia Dube (DIN:01994475) as an Independent Director of the company for a second consecutive term of 5 years.	Special		
5	Continuation of Directorship of Mr. S L Mohan (DIN:00028126) who will attain the age of Seventy Five years on 10 th February 2020 as a Non-Executive Independent Director of the company up to conclusion of Annual General Meeting to be held in FY 2020, being the date of expiry of his current term of office.	Special		
6	Ratification of Remuneration of Cost Auditor	Ordinary		

Signed thisday of2019

Signature of the Member

Signature of proxy holder(s)

Affix
Rupee 1
Revenue
Stamp**Notes:**

- This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.
- For the Resolutions, Explanatory Statement and Notes, please refer to the Notice of the 38th Annual General meeting.
- * It is optional to put a 'X' in the appropriate column against the Resolutions indicated in the Box. If you leave the 'For' or 'Against' column blank against any or all Resolutions, your Proxy will be entitled to vote in the manner as he/she thinks appropriate.

ARCOTECH LIMITED

ATTENDANCE SLIP

CIN: L34300HR1981PLC012151

Registered Office: 181, Sector-3, Industrial Growth Centre, Bawal, District-Rewari, Haryana-123501

Tel: 01284-464160/161, **Fax:** 01284-264024

Corporate Office: F-701A, Lado Sarai, Mehrauli, New Delhi-110030

Tel: 01129523251, **Fax:** 01129523020

Email: contact@arcotech.in , investors@arcotech.in **Website:** www.arcotech.in

Master Folio No.

DP ID-Client ID No.

NAME AND ADDRESS OF THE SHAREHOLDER

.....

.....

.....

.....

No. of Shares held:

I/We hereby record my/our presence at the 38th ANNUAL GENERAL MEETING of the Company held on Thursday, the 26th day of September, 2019 at 11.00 A.M. at 181, Sector-3, Industrial Growth Centre, Bawal, Distt Rewari, Haryana-123501

Member's Folio/DP ID-Client ID No.

Member's /Proxy's Name in Block Letters

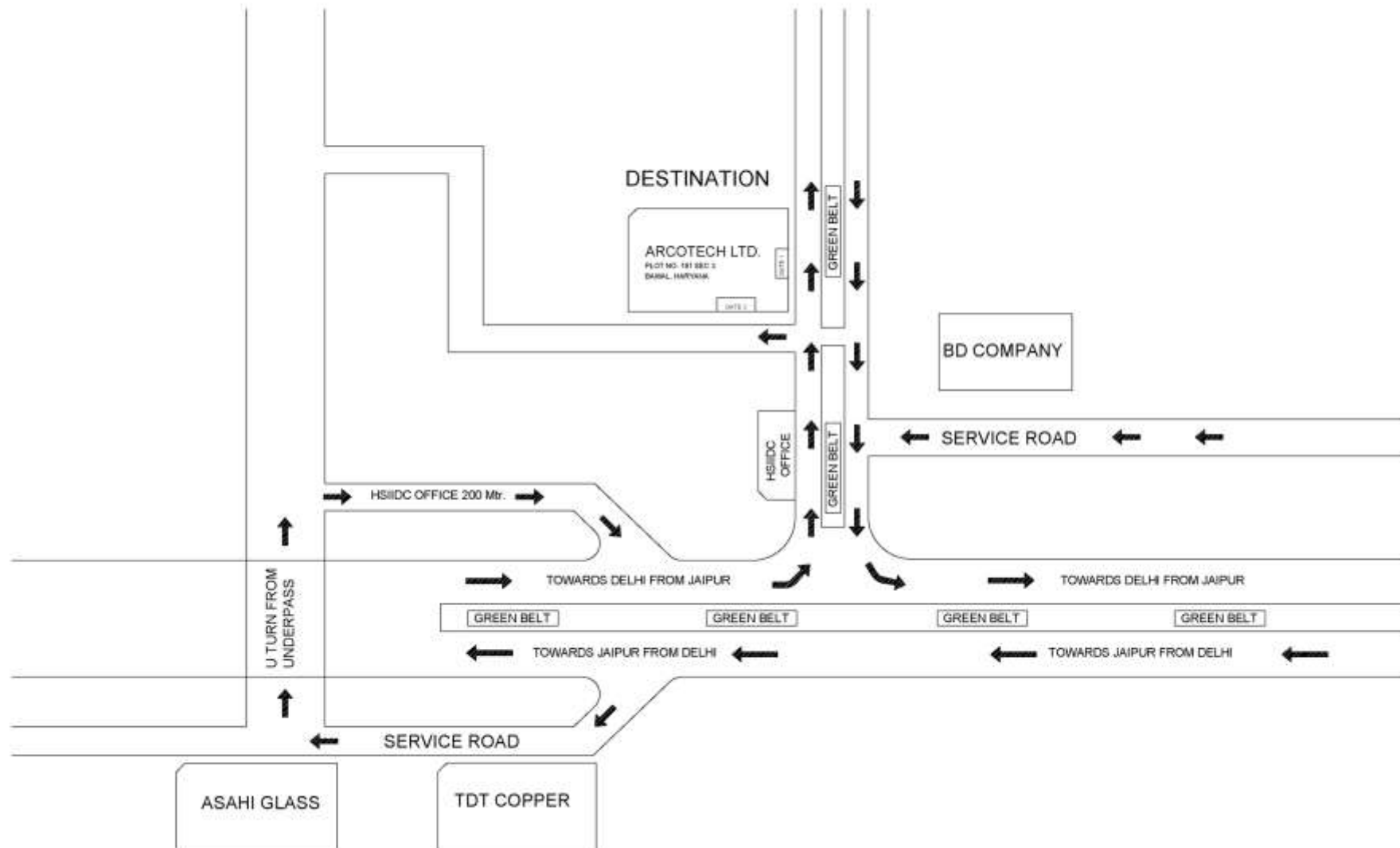
Member's /Proxy's Signatures

Notes:

1. Please complete the Name & Folio/DP ID-Client ID No. and sign this Attendance Slip and hand it over at the Attendance Verification Counter at the ENTRANCE OF THE MEETING HALL.
2. Members are requested to bring this slip along with them as duplicate slips will not be issued at the venue of the meeting.

ARCOTECH LIMITED

Route Map to the venue of AGM to be held on 26th September, 2019



38th Annual Report
2018 - 2019



ARCOTECH LIMITED

CORPORATE INFORMATION

CIN : L34300HR1981PLC012151

BOARD OF DIRECTORS

Sh. Arvind Kumar Saraf	:	Chairman & Promoter
Sh. Radha Nath Pattanayak	:	Whole Time Director
Sh. R D Tayal	:	Independent Director
Sh. Sham Lal Mohan	:	Independent Director
Sh. Maninder Kohli	:	Non-Executive Director
Sh. Suresh Thakur	:	Independent Director
Smt. Sonia Dube	:	Independent Director

AUDITORS

M/S. Amit Joshi & Associates
Chartered Accountants
E-14/14 Basement, Vasant Vihar
New Delhi - 110057

REGISTRAR

Maheshwari Datamatics Pvt Ltd,
23, RN Mukherjee Road, 5th Floor,
Kolkata-700001
Ph:- 033-2248 2248, Fax : 033-51410591

REGISTERED OFFICE AND WORKS

181, Industrial Growth Centre, Sector-3,
Bawal-123501 Distt. Rewari (Haryana)

DIRECTORS' REPORT

Dear Members,

Your Directors have immense pleasure in presenting the 38th Annual Report on the business and operations of the Company together with Audited Statement of Accounts of your Company for the financial year ended the 31st March, 2019.

1. FINANCIAL HIGHLIGHTS

(Rs. in Crores)		
PARTICULARS	2018-2019	2017-2018
Sales	452.11	784.22
Profit Before Interest, Depreciation & Tax (PBDIT)	(68.34)	76.13
Less : Interest & Finance Charges	58.09	64.06
Profit Before Depreciation & Tax (PBIT)	(126.43)	12.07
Less : Depreciation	10.60	7.75
Profit Before Tax (PBT)	(137.03)	4.32
Less : Provision for Current Tax /Deferred Tax	(44.89)	0.41
Profit After Tax (PAT)	(92.14)	3.91

2. DIVIDEND

During the Period Company has incurred a loss of Rs. 92.14 crores., your Directors do not recommend any Dividend for the year under review.

GENERAL RESERVES

There was no transfer to General Reserve during the year 2018-19.

3. BUSINESS AND OPERATIONS REVIEW

The company has an integrated manufacturing facility comprising of melting & casting to rolling to manufacture Copper and Cu alloys like Brass, Phosphor Bronze, Lead Brass, Cupro Nickel in the form of strips, foils, sheets, ingots, rods, profiles, bus bars and forward integrated products such as terminals, connectors, coin blanks, key blanks etc.

Arcotech is continuing on its path to being an innovative, process and system-oriented company to further consolidate and expand its presence in the value added forward integrated products and add OEM and tier 1 customers across industries such as electrical, Automobiles, electronics and switchgear etc. Continuous effort by our engineers and R & D center is continuing to result in Arcotech achieving approvals of products in quick time with several OEMS.

Millions of people everyday use material processed by Arcotech in various forms and by numerous manufacturers of Electronic, Electrical/ Power Transmission, Switchgear, HT Cables, Auto Components, Radiators, Keys & Locks, Zippers, Sanitary fittings, Torches, Coins and many more.

The Copper and Copper Alloy Industry continues from the ill effects of the Inverted Duty Structure the industry is facing from the signing of FTA's without adequate consideration to the Industry, the companies margins had contracted and the company had to make timely investment decisions for a long term sustainable model. The company has therefore implemented its vision to transform from a Semi's company to a Precision Component Company for supplying Value Added Items for the Indian Industry.

During the year under review, your Company has achieved gross sales of Rs. 452.11 Crores. The financials of the company has been affected on account of squaring off of long running orders which included LD Charges from customers and suppliers. The market situation in the intervening period had been challenging after the disruption caused by the implementation of GST and demonetization. The closure of the Vedanta Tuticorin plant had also impacted the material availability for 6 Months in the complete supply chain and pushed up the purchasing cost and lead time to procure the material.

As the company has faced with significant erosion of capital over the past year, the company has requested for a restructuring package from its Secured Lenders under the RBI notification dated June 7th 2019. The company is

complying with all requirements for a restructuring as required by the said notification and expects the same to be implemented in the FY 19-20. Once the restructuring is complete, the company expects that its Product Mix including its Forward Integrated products like Automotive Components and Electrical Parts would contribute to restoring its profitability and margins to existing levels.

4. DIRECTORS AND KEY MANAGERIAL PERSONNEL

In pursuance with the provisions of Companies Act, 2013, Shri Radha Nath Pattnayak, Whole Time Director of the Company who retires by rotation at the ensuing Annual General Meeting and being eligible offers himself for re- appointment. In terms of Regulation 36 of SEBI (LODR) Regulations, 2015, the details of the Director to be re- appointed are being provided in the notice of the ensuing Annual General Meeting.

The Board of the Company is constituted in accordance with the provisions of Companies Act, 2013 and rules made there under and Regulation 17(1) of SEBI (LODR) Regulations, 2015.

Mr. Rishabh Saraf Non executive Non Independent director of the Company resigned from the board of the Company during the year under review.

Change in Key Managerial Personnel:

a) During the Year, Shri Akshaya Kumar Biswal resigned as the Chief Financial Officer (KMP) of the Company w.e.f 27th September, 2018.

5. BOARD DIVERSITY AND POLICY ON DIRECTOR'S APPOINTMENT AND REMUNERATION

The Company believes that building a diverse and inclusive culture is integral to its success. A diverse Board, among others, will enhance the quality of decisions by utilizing different skills, qualifications, professional experience and knowledge of the Board members necessary for achieving sustainable and balanced development. Accordingly, the Board has adopted a policy on 'Nomination, Remuneration and Board Diversity', which sets out the criteria for determining qualifications, positive attributes and independence of a Director. The detailed policy is available on the Company's website at <http://www.arcotech.in/New14/NOMINATION.pdf> and <http://www.arcotech.in/New14/Policy-on-Board-Diversity.pdf> is also provided in the Corporate Governance Report which forms part of this Report.

Annual Board Evaluation and Familiarisation Programme for Independent Directors

The statement pursuant to the provisions of the Companies Act, 2013 and Regulation 17(10) SEBI(LODR) Regulations, 2015 indicating the manner in which formal annual evaluation of the Directors, the Board and the Board level Committees are given in the report on Corporate Governance, which forms part of this Annual Report. A note on the familiarisation programme adopted by the Company is available at Company's website <http://www.arcotech.in/New14/Familiarisation-programmes-for-Independent-Directors.pdf>

Declaration by Independent Directors

The company has received necessary declaration from each independent director under section 149(7) of the Companies Act, 2013 that he/ she meets the criteria of independence laid down in section 149(6) of the Companies Act, 2013 and Reg.16(1)(b) and Reg. 25 of SEBI (LODR) Regulations, 2015. The Independent Directors have also confirmed that they have complied with the Company's code of conduct.

6. AUDITORS AND AUDITORS REPORT

M/s. Amit Joshi & Associates (FRN:004898N) Chartered Accountants, Statutory Auditor of the Company were appointed in the 35th Annual General Meeting held on 28th September, 2016 to hold office until the conclusion of 40th Annual General Meeting (AGM) of the Company.

The Notes on financial statement referred to in the Auditors' Report are self-explanatory and do not call for any further comments.

7. COST AUDITOR

The Board of your Company has appointed M/s S S Chug & Co., Cost Accountants, registration no. 101595 for conducting the audit of cost records of the Company for the financial year 2019-20.

8. SECRETARIAL AUDITOR AND SECRETARIAL AUDIT REPORT

The Board of your Company has appointed M/s A. Upadhyaya & Associates, Company Secretaries, Certificate of Practice no. 4729 for conducting the secretarial audit of the Company for the financial year 2019-20. The secretarial auditor's report for the financial year 2018-19 is attached and self-explanatory and donot call for any further comments.

9. REPORTING OF FRAUDS BY AUDITORS

During the Year under review, none of the Auditors have reported to the Audit Committee, or to the Board, under section 143(12) of the Companies Act, 2013, any instances of fraud committed against the Company by its officers or employees.

10. NUMBER OF MEETINGS OF THE BOARD

During the year under review, there were total 6 (Six) meetings of the Board were convened and held, the details of which are given in the Report on Corporate Governance, which is a forming part of this report. The intervening gap between the meetings was within the period prescribed under the Companies Act, 2013 and Reg.17(2) of SEBI (LODR) Regulations, 2015.

Audit Committee

The Composition and function of Audit Committee of the Board of Directors of the Company is disclosed in the Report on Corporate Governance, which is forming part of this report.

11. VIGIL MECHANISM

The Company has a established vigil mechanism which incorporates a whistle blower policy in terms of the listing agreement for directors and employees to report their genuine concerns. The objective of the policy is to create a window for any person who observes an unethical behavior, actual or suspected fraud or violation of Company's code of conduct. Protected disclosures can be made by the whistle blower through an email or phone or a letter to the chairman of the audit committee. The policy can be assessed from the Company's website <http://www.arcotech.in/New14/WHISTLEBLOWERPOLICY.pdf>.

12. SUBSIDIARY & JOINT VENTURE

The Company has framed a policy for Determining material Subsidiaries. There is no subsidiary of the company and joint Venture as on 31st march, 2019.

13. DIRECTORS' RESPONSIBILITY STATEMENT UNDER SECTION 134(3)(C) OF THE COMPANIES ACT, 2013

The Board of Directors hereby confirms, in terms of Section 134(5) of the Companies Act, 2013:

- a) That in the preparation of the Annual Accounts, the applicable Accounting Standards have been followed along with proper explanation relating to material departures, if any;
- b) That appropriate accounting policies have been selected and applied consistently, and made judgments and estimates that are reasonable and prudent have been made so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period.
- c) That the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- d) That the Annual Accounts have been prepared on a going concern basis.
- e) That the Directors have laid down internal financial controls to be followed by the company and such internal financial controls are adequate and are operating effectively.
- f) That the Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

14. EXTRACT OF ANNUAL RETURN

In accordance with the provisions of section 134(3)(a) of the Companies Act, 2013 an extract of the Annual Return in Form MGT-9 is given as Annexure-B of this report.

15. LISTING

The equity shares of your Company are listed with the BSE Ltd and National Stock Exchange Ltd.

16. FIXED DEPOSITS

During the Year under review, your Company has not accepted any fixed deposit within the meaning of Section 73 and 74 of the Companies Act, 2013 read with Companies (Acceptance of Deposits) Rules, 2014.

17. STATUTORY STATEMENTS

A. Conservation of energy and technology absorption

The information relating to Conservation of Energy and Technology Absorption as required to be disclosed under Section 134(3)(m) of the Companies Act, 2013, read with Rule 8(3) of the Companies (Accounts) Rules, 2014, is annexed herewith as Annexure - 'A' -Form A.

B. Foreign Exchange Earnings and outgo

During the year under review, your Company has dealt with foreign exchange earning and outgo, pursuant to Section 134(3)(m) of the Companies Act, 2013, read with Rule 8(3) of the Companies (Accounts) Rules, 2014, is annexed herewith as Annexure - 'A' -Form B.

C. Particulars of Employees

Information in accordance with the provisions of Section 197 of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, as amended, regarding employees is given in the Annexure to the Directors' Report.

Disclosures regarding ratio of the remuneration of each Director to the median employee's remuneration and other details in terms of Section 197(12) of the Companies Act, 2013 read with Rule 5(2) & (3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, are as under:-

Managerial Remuneration:

- i) The Ratio of the remuneration of Directors to the Median remuneration of the employees of the Company for the year 2018-19:
 - Executive Director: Mr. RN Pattanayak-**16.59:1**
- ii) The percentage increase in remuneration of each Director, CFO and CS in the financial year:
There was no increase in the remuneration of any of the Director, CFO and CS.
- iii) The percentage increase in the median remuneration of employees in the financial year: **11.64%**
- iv) The number of permanent employees on the rolls of Company: **95 employees as on 31.03.2019**
- v) Variations in the market capitalization of the Company, price earnings ratio as at the closing date of the current financial year and previous financial year and percentage increase over decrease in the market quotations of the shares of the Company in comparison to the rate of previous year.

Particulars	As at 31st March, 2019	As at 31st March, 2018	Variation (%)
Closing Share Price	5.60 (Face Value of Rs.2)	33.50 (Face Value of Rs.2)	-27.9
Market Capitalization (Rs in Crores) (Market Value per share *No. of Outstanding Shares)	58.8	351.75	-292.95
P/E ratio (Market Value per share/EPS)	(0.64)	90.54	-91.18

- vi) Average percentile increase already made in the salaries of employees other than managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration: **NIL**
- vii) Comparison of the each remuneration of the Key Managerial personnel against the performance of the Company:

	WTD	CFO*	CS
Remuneration in FY 18 (Rs in Cr.)	0.42	0.12	0.12
Revenue (Rs in Cr.)		452.11	
Remuneration as % of revenue	0.093%	0.026%	0.026%
Profit before Tax (PBT) (Rs in Cr.)		(137.03)	
Remuneration (as % of PBT)	0.30%	0.08%	0.08%
*a) During the Year, Shri Akshaya Kumar Biswal resigned as the Chief Financial Officer (KMP) of the Company w.e.f 27th September, 2018.			

- viii) The key parameters for any variable component of remuneration availed by the Directors: There is no such variable component
- ix) The ratio of the remuneration of the highest paid director to that of the employees who are not Directors but receive remuneration in excess of the highest paid director during the year: **NONE**
- x) The Remuneration is as per the remuneration policy of the Company.

18. CORPORATE GOVERNANCE

A separate report on Board of Directors of the Company on Corporate Governance is included in the Annual Report and the Certificate from M/s A. Upadhyaya & Associates Practicing Company Secretary, confirming compliance with the conditions of Corporate Governance as stipulated in Schedule V of SEBI (LODR), Regulations, 2015 is attached to the report on Corporate Governance.

19. COMPLIANCE WITH SECRETARIAL STANDARD

Secretarial Standard 1: Meetings of the Board of Directors and Secretarial Standard 2: General Meetings, as applicable have been complied by the company.

20. RISK MANAGEMENT POLICY

The company has in place a mechanism to identify, assess, monitor and mitigate various risks to key business objectives. Major risks identified by the businesses and functions are systematically addressed through mitigating actions on a continuing basis. These are discussed at the meetings of the board of directors of the Company.

The company's internal control systems are commensurate with the nature of its business and the size and complexity of its operations. These are routinely tested and certified by statutory as well as internal auditors.

21. CORPORATE SOCIAL RESPONSIBILITY

The Company has been committed towards the society at large. A separate note on the policy is a part of this report. The Company has duly formulated CSR policy in place. Policy can be assessed from the Company Website <http://www.arcotech.in/New14/CSR.pdf>.

22. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS UNDER SECTION 186

The company has not given any loan, guarantee or investments under section 186 of the Companies Act, 2013

23. MATERIAL CHANGES AND COMMITMENTS AFFECTING THE FINANCIAL POSITION OF THE COMPANY.

There have been no material changes and commitments, if any, affecting the financial position of the Company which have occurred between the end of the financial year of the Company to which the financial statements relate and the date of the report.

RELATED PARTY TRANSACTIONS

All related party transactions entered by the company during the financial year were in the ordinary course of business and at arm's length basis, which were not material in nature. All related party transactions were entered with the prior approval of the Audit Committee and periodically placed before the Board for review. The details of the transactions with related party are provided in the company's financial statements in accordance with the Accounting Standard. The disclosure of Related Party Transactions in Form AOC2 is attached.

The Policy on the Related Party Transactions is available on the Company's website at <http://www.arcotech.in/New14/Policy-on-Materiality-of-and-dealing-with-Related-Party-Transaction.pdf>.

24. MANAGEMENT DISCUSSION AND ANALYSIS**(a) Industry Scenario & Future Challenges**

During the year, Industrial Output of the economy has been sluggish due to several head winds resulting from high fuel prices, uncertainty before general elections, liquidity crunch and higher interest rates in macroeconomic concerns. During the year, a risk analysis assessment was conducted and no major risks were noticed, which may threaten the existence of the Company.

(b) Human Resources/Industrial Relations

Your Company acknowledges the commitment, competence and dedication of its employees at all areas of business. The Company is committed to nurture, enhance and retain best talent through investment in its people to upgrade their technical, domain and leadership capability. To retain leadership position, the Company continuously innovates and customizes its Human Resource (HR) strategy to meet changing employee need. The Company has taken initiative for safety of employees and implemented regular safety audit, imparted machine safety training, wearing protective equipment's.

(c) **Adequacy of Internal Controls**

The company has a proper and adequate system of internal controls to ensure that all assets are safeguarded and protected against loss from unauthorized use or disposition and that all transactions are authorized, recorded, and reported correctly. Independent Internal auditors conduct audit covering a wide range of operational matters and ensure compliance with specified standards.

(d) **Operating Performance, Future Outlook etc.**

The foregoing paragraphs under the head - Financial Results, Operations, and Future Outlook have discussed and analyzed other requisite issues mentioned in SEBI (LODR), Regulations, 2015.

(e) **Opportunities and Threats**

Government focus on Non-ferrous Industry and implementation of GST will give boost to nonferrous industry. However Govt. will have to take adequate steps to provide level playing field to Indian Non-ferrous Manufacturers by taking mitigant steps to nullify the impact of inverted duty effect.

(h) **SIGNIFICANT CHANGES IN KEY FINANCIAL RATIOS**

The significant changes in the key financial ratio of the Company, which are more than 25% as compared to the previous year, are as given below-

SR. No	Particulars	2018-19	2017-18	Changes (in %)	Explanations
i)	Interest Coverage Ratio	(1.24)	1.06	(216.52)	Due to reduction in EBIT.
ii)	Operating Profit Margin	(0.17)	0.10	(267.92)	Profit Margin was affected due to increase in Raw material cost (RM to Sales Ratio FY 2017-18 Vs. 2018-19: "0.83 Vs. 1.03") and reduction in turnover.
iii)	Net Profit Margin	(0.20)	0.01	(4,081.62)	Profit Margin was affected due to Following: a)Reduction in turnover by 41%. b)Increase in Raw material cost (RM to Sales Ratio FY 2017-18 Vs. 2018-19: "0.83 Vs. 1.03")and c)Finance cost was not decreased as same proportion of revenue (Changes in sale Vs. Finance Cost: "0.41 Vs. 0.15")
iv)	Change in Return to Net worth	(0.57)	0.02	(3,420.94)	Profit Margin was affected due to Following: a)Reduction in turnover by 41%. b)Increase in Raw material cost (RM to Sales Ratio FY 2017-18 Vs. 2018-19: "0.83 Vs. 1.03") and c)Finance cost was not decreased as same proportion of revenue (Changes in sale Vs. Finance Cost: "0.41 Vs. 0.15")

25. **DISCLOSURE AS PER THE SEXUAL HARRASMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013**

The company has a policy on prohibition, prevention and redressal of Sexual Harassment of women at workplace and Matters connected therewith or incidental thereto covering all the aspects as contained under "The Sexual Harassment of women at workplace (Prohibition, Prevention and Redressal) Act, 2013". During the financial year 2018-19, no complaint was received under the policy.

26. **INTERNAL FINANCIAL CONTROL**

The Company has adequate internal control systems and procedures designed to effectively control the operations at Its corporate office, Head office and plants. The internal control systems are designed to ensure that the financial and other records are reliable for the preparation of financial statements and for maintaining assets. The Company has well designed Standard Operating Procedures.

Independent Internal Auditors conduct audit covering a wide range of operational matters and ensure compliance with specified standards. Planned periodic reviews are carried out by Internal Audit. The findings of Internal Audit are reviewed by the top management and by the Audit Committee of the Board of Directors.

Based on the deliberations with Statutory Auditors to ascertain their views on the financial statements including the Financial Reporting System and Compliance to Accounting Policies and Procedures, the Audit Committee was satisfied with the adequacy and effectiveness of the Internal Controls and Systems followed by the Company.

27. ACKNOWLEDGEMENT

Your Directors place on record their deep appreciation to employees at all levels for their hard work, dedication and commitment. The enthusiasm and unstinting efforts of the employees have enabled the Company to remain at the forefront of the Industry. Your Company looks upon them as partners in its progress and has shared with them the rewards of growth. Directors also take this opportunity to thank all Investors, Banker, Clients, Vendors, Companies, Government authorities and Stock Exchange(s) for their continued support.

Place: New Delhi

Date: 13th August, 2019

**On behalf of the Board
For Arcotech Limited**

**(Arvind Kumar Saraf)
Chairman
DIN: 00057323**

A) ANNEXURE TO BOARD REPORT

The remuneration of Whole Time Director (Executive Director) for the financial year ended 31st March 2019.

S. No.	Name	Age (Years)	Designation	Gross Remuneration (Rs.)	Net Remuneration (Rs.)	Total Experience (Years)	Date of Commencement of Employment	Last Employment
1	Shri. R N Pattanayak	59	Whole Time Director	42,00,000	42,00,000	33	18.12.2006	Business

ANNEXURE - 'A'

Information under section 134(3)(m) of the Companies Act, 2013 read with the Companies (Accounts) Rules, 2014 and forming part of the Directors' Report for the year ended 31st March, 2019.

I. CONSERVATION OF ENERGY

- a) Energy conservation measures taken :
 - i. Implemented 3 phase variable voltage drive controlled through PID for energy conservation in vacuum furnace.
 - ii. Provide blower shut off operation from remote side in BSC mill.
 - iii. Circuit modified to avoid re-start after resuming of power supply in BSC mill
 - v. Implemented automatic control for cooling tower fan as per required process water temperature resulting into lowers consumption of energy.
- b) Additional investment and proposals for reduction of energy consumption.
 - i. VFD for More number of machines shall be installed.
 - ii. New Digital Drives are proposed to be installed in other finishing as well as intermediate mills for optimum utilization of power.
 - iii. Implementations of variable 3 phase voltage drive system to Bell furnace.
- c) Impact of the measures at (a) and (b) above on reduction of energy consumption and consequent impact on the cost of production of goods
The measure would help in increasing the productivity, lowering the power cost.

FORM-A

PARTICULARS WITH RESPECT TO CONSERVATION OF ENERGY

(A)	Power and Fuel Consumption		Current Year 2018-2019	Previous Year 2017-2018	
	1. Electricity				
	(a) Purchased(MWH)		3153580	8847767	
	(i)Units				
	(ii) Total Amount		33945295	81399456	
	(iii) Rate per unit (Rs.)		10.764	9.209	
	(b) Own Generation				
	(i) Through diesel generator				
	Units (MWH)		30383	109845	
	Total Amount		1020571	3148633	
	Units per Liter of diesel		1.96	2.05	
	Cost/ Unit (Rs.)		33.59	28.66	
	(ii) Through steam turbine generator		NIL-	NIL-	
	2. Coal/ Furnace Oil/ Others		-NA-	-NA-	
(B)	Consumption per unit of Production	Production Unit	Standards (If any)	Current Year 2018-2019 (Unit)	Previous Year 2017-2018 (Unit)
	1. Copper & Brass	(MT)		0	16406
	- Electricity		-	0	539
	- Coal/ FO /Others		NA	NA	NA

FORM-B

II. TECHNOLOGY ABSORPTION, ADAPTATION AND INNOVATION

1. Research and Development (R&D)

- Developed 3 phase AC variable voltage PID controller for Vacuum furnace for accurate temperature
- Developed auto speed synchronization to 2HI re coiler motor which helps the zero mechanical breakdown
- Provided screw down electronic control system in TRM-1 for gauge controlling.
- Automatic cut to length system implemented in existing CTL
- Automatic speed synchronization done with 2HI main mill and 2HI up coiler for easy Rolling.
- 2 HI automatic screw down system started for easy operation
- (a) Specific areas in which R&D was carried out by the Company
 - Robertson and BSC Mill has been re-engineered and installed HMI for auto dia compensation and user friendly operation to meet the specific customer requirement and to achieve internationally acceptable quality parameter.
 - Study was conducted to do Soft Slitting of ETP Copper.
- (b) Benefits derived as a result of the above R&D
 - Capable to do Hot Rolling of Nickel Brass to meet customized requirement of customers.
- (c) Future plan of action :
 - New Base for Bell Annealing - 1st will be installed.
 - 2nd PSA plant will be commissioned.
- (d) Expenditure on R&D:

Capital	:	Not Allocated
Recurring	:	Not Allocated
Total	:	Not Allocated
Total R&D expenditure as a percentage of total turnover	:	Not Allocated

2. Technology absorption, adaptation and innovation:

- | | | |
|---|---|---|
| Efforts, in brief, made towards technology commissioned | : | Technological up gradation of various equipments have been undertaken. |
| Benefits derived as a result of the above efforts. | : | Efficient consumption of electricity and lower Production cost. |
| Technology imported during the last five years. | : | DC Caster, Continuous Casting Line & Pin hole Detector 20Hi Mill, Robertson Mill Coreless furnace consists of several imported mechanical, electronic components. |

3. Total Foreign exchange earnings and outgo :

- | | | |
|---|---|-----|
| Activities relating to export initiatives taken to increase exports, development of new export markets for products and export plans. | : | NIL |
|---|---|-----|

- | | | |
|---|---|---------------|
| Total foreign exchange used and earned.
(equivalent to Rupees) | : | |
| - Used (on cash basis) | : | -- |
| - Earned | : | Rs 69.20 Lacs |

FORM NO. MGT 9

EXTRACT OF ANNUAL RETURN

As on financial year ended on 31.03.2019

Pursuant to Section 92 (3) of the Companies Act, 2013 and rule 12(1) of the Company (Management & Administration) Rules, 2014.

I. REGISTRATION & OTHER DETAILS:

1.	CIN	L34300HR1981PLC012151
2.	Registration Date	13.08.1981
3.	Name of the Company	ARCOTECH LIMITED
4.	Category/Sub-category of the Company	LIMITED COMPANY HAVING SHARE CAPITAL
5.	Address of the Registered office & contact details	181, SECTOR-3, INDUSTRIAL GROWTH CENTRE, BAWAL-123501, DISTRICT- REWARI, HARYANA
6.	Whether listed company	LISTED
7.	Name, Address & contact details of the Registrar & Transfer Agent, if any.	Maheshwari Datamatics Pvt Ltd, 23, R.N Mukherjee Road, 5th Floor, Kolkata - 700001 Ph:- 033-2248 2248, Fax : 033-22484787

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

(All the business activities contributing 10 % or more of the total turnover of the company shall be stated)

S.No.	Name and Description of main products/services	NIC Code of the Product/service	% to total turnover of the company
1	Manufacture of non-ferrous Metals n.e.c.	24209	100%

II. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES-

(All the business activities contributing 10 % or more of the total turnover of the company shall be stated)

S.No	Names and Address of the Company	CIN No	Holding/ subsidiary / Associate	% of share held	Section
-----NOT APPLICABLE-----					

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

a) Category-wise Share Holding

Category of Shareholders	No. of Shares held at the beginning of the year (As on 01-April-2018)				No. of Shares held at the end of the year (As on 31-March-2019)				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A. Promoters									
(1) Indian									
a) Individual/ HUF	13306367	0	13306367	12.6727	13924545	0	13924545	13.2614	0.5887
b) Central Govt									
c) State Govt(s)									
d) Bodies Corp.	62459805	0	62459805	59.4855	54758111	0	54758111	52.1505	-7.335
e) Banks/FI									
f) Any other									
Sub-total (A)(1)	75766172	0	75766172	72.1582	68682656	0	68682656	65.4119	-6.7463
(2) Foreign									
a) NRIs - Individuals									
b) Other - Individuals									
c) Bodies Corp.									
d) Banks/FI									
e) Any other									
Sub-total (A)(2)	0	0	0	0.000	0	0	0	0.0000	0.0000
Total shareholding of Promoter (A)=(A)(1)+(A)(2)	75766172	0	75766172	72.1582	68682656	0	68682656	65.4119	-6.7463
B. Public Shareholding									
1. Institutions									
a) Mutual Funds	32900	129200	162100	0.1544	32900	119200	152100	0.1449	-0.0095
b) Banks/FI	150031	34500	184531	0.1757	3025	34500	37525	0.0357	-0.1403
c) Central Govt									
d) State Govt(s)									
e) Venture Capital Funds									
f) Insurance Companies									
g) FIIs	0	0	0	0	0	0	0	0	
h) Foreign Venture Capital Funds									
i) Others (specify)									
Sub-total(B)(1):-	182931	163700	346631	0.3301	35925	153700	189625	0.1806	-0.1498
2. Non-Institutions									
a) Bodies Corp.									
i) Indian	2567777	472800	3040577	2.8958	1841749	471700	2313449	2.2032	0.6926
ii) Overseas									
b) Individuals									
i) Individual shareholders holding nominal share capital upto Rs. 1 lakh	19329520	768400	20097920	19.1409	27083834	723900	27807734	26.4836	7.3427
ii) Individual shareholders holding nominal share capital in excess of Rs. 1 lakh	2487849	0	2487849	2.3694	3288872	0	3288872	3.1322	0.7628
c) Others (Specify)									
Non Resident Indians	624199	0	624199	0.5945	1082853	0	1082853	1.0313	0.4368
Qualified Foreign Investor									
Custodian of Enemy Property									
Foreign Nationals	280	0	280	0.0003	280	0	280	0.0003	0.0000
Clearing Members	2634807	0	2634807	2.5093	1623998	0	1623998	1.5467	-0.9626
Trusts									
Foreign Bodies-D R									
NBFCs registered with RBI	1565	0	1565	0.0015	10533	0	10533	0.0100	0.0085
Sub-total(B)(2):-	27645997	1241200	28887197	27.5117	34932119	1195600	36127719	34.4073	6.8956
Total Public Shareholding (B)=(B)(1)+ (B)(2)	27828928	1404900	29233828	27.8418	34968044	1349300	36317344	34.5881	6.7463
C. Shares held by Custodian for GDRs & ADRs									
Grand Total (A+B+C)	103595100	1404900	105000000	100.0000	103650700	1349300	105000000	100.0000	0.0000

b) Shareholding of Promoter

S N.	Shareholder's Name	Shareholding at the beginning of the year [As on 01/04/2018]			Shareholding at the end of the year [As on 31/03/2019]			%Change in share holding during the year
		No. of Shares	% of total Shares of the company	% of Shares Pledged/encumbered to total shares	No. of Shares	% of total Shares of the company	% of Shares Pledged/encumbered to total shares	
1	Sidhant Distributors Pvt. Ltd.	23785700	22.6530	99.9608	20676700	19.69	98.25	-2.96
2	Vasudha Commercial Pvt. Ltd.	18694600	17.8044	0.0000	15294600	14.57	0	-3.23
3	Arvind Kumar Saraf	3525097	3.3572	0.0000	3525097	3.35	70.92	0
4	Arco Infoway Pvt. Ltd.	4986400	4.7490	99.7714	4614107	4.39	99.75	-0.35
5	Rishabh Saraf	3862425	3.6785	95.7947	4513594	4.30	81.97	0.63
6	Atashi Singhania	3800000	3.6190	0.0000	3800000	3.61	0	0
7	Siddhivinayak Stockist and Traders Pvt. Ltd.	3830035	3.6477	0.0000	3830035	3.64	100	0
8	Renu Saraf	2118845	2.0179	99.1106	2085854	1.99	99.10	-0.02
9	Arco IT Solutions Pvt. Ltd.	2500000	2.3810	61.0000	2079599	1.98	100	0.4
10	Arcotech Info Ltd.	2120325	2.0194	0.0000	2120325	2.01	99.98	0
11	Sarathi Infrastructure Pvt. Ltd.	1242600	1.1834	98.9198	1242600	1.18	98.92	0
12	JeevanVihar Properties Pvt. Ltd	100000	0.0952	0.0000	100000	0.10	0	0
13	Cloast Trade and Services Pvt. Ltd	4000145	3.8097	0.0000	4000145	3.81	100	0
14	Hiland Enclave Pvt. Ltd	1200000	1.1429	0.0000	800000	0.76	0	0.38
	Total	75766172	72.1582	49.2377	68682656	65.4119	44.23	-6.7463

c) Change in Promoters' Shareholding (please specify, if there is no change)

Sl No	Name	Shareholding at the beginning [01/04/18]/end of the year [31/03/2019]		Cumulative Shareholding during the year [01/04/18 to 31/03/2019]	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	Jeevan Vihar Properties Pvt Ltd				
	01-04-18	100000	0.0952		
	31-03-19	100000	0.0952	100000	0.0952
2	VASUDHA COMMERCIAL PRIVATE LIMITED				
	01-04-18	18694600	17.8044		
	06/04/2018 - Transfer	-850000	0.8095	17844600	16.9949
	13/04/2018 - Transfer	-1550000	1.4762	16294600	15.5187
	20/04/2018 - Transfer	-1000000	0.9524	15294600	14.5663
	06/07/2018 - Transfer	-1800000	3.5730	13494600	26.7866
	27/07/2018	1800000	1.7143	15294600	14.5663
	31-03-19	15294600	15294600	15294600	14.5663
3	CLOAST TRADE AND SERVICES PRIVATE LIMITED				
	01-04-18	4000145	3.8097		
	31-03-19	4000145	3.8097	4000145	3.8097
4	ARCO INFOWAY PRIVATE LIMITED				
	01-04-18	4986400	4.7490		
	31-03-19	4614107	4.3943	4614107	4.3943
5	HILAND ENCLAVE PRIVATE LIMITED				
	01-04-18	1200000	1.1429		
	20/04/2018 - Transfer	-400000	0.3810	800000	0.7619
	31-03-19	800000	0.7619	800000	0.7619
6	ARCO IT SOLUTIONS PRIVATE LIMITED				
	01-04-18	2500000	2.3810		
	31-03-19	2079599	1.9805	2079599	1.9805
7	ARCOTECH INFO LIMITED				
	01-04-18	2120325	2.0194		
	31-03-19	2120325	2.0194	2120325	2.0194
8	SIDHANT DISTRIBUTORS PRIVATE LIMITED				
	01-04-18	23785700	22.653		
	31-03-19	20676700	19.69	20676700	19.69

SI No	Name	Shareholding at the beginning [01/04/18]/end of the year [31/03/2019]		Cumulative Shareholding during the year [01/04/18 to 31/03/2019]	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
9	SIDDHIVINAYAK STOCKIST & TRADERS PRIVATE LIMITED				
	01-04-18	3830035	3.6477		
	31-03-19	3830035	3.6477	3830035	3.6477
10	SARATHI INFRASTRUCTURE PRIVATE LIMITED				
	01-04-18	1242600	1.1834		
	31-03-19	1242600	1.1834	1242600	1.1834
11	ARVIND KUMAR SARAF				
	01-04-18	3525097	3.3572		
	06/07/2018 - Transfer	-3500000	6.9474	25097	0.0498
	27/07/2018 - Transfer	3500000	3.3333	3525097	3.3572
	31-03-19	3525097	3.3572	3525097	3.3572
12	RENU SARAF				
	01-04-18	2118845	2.0179		
	19/10/2018 - Transfer	-600000	0.5714	1518845	1.4465
	01/03/2019 - Transfer	567009	0.5400	2085854	1.9865
	31-03-19	2085854	1.9865	2085854	1.9865
13	Atashi Singhania				
	01-04-18	3800000	3.6190		
	31-03-19	3800000	3.6190	3800000	3.6190
14	Rishabh Saraf				
	01-04-18	3862425	3.6785		
	22/06/2018 - Transfer	200000	0.1905	4062425	3.8690
	06/07/2018	-200000	0.3970	3862425	7.6669
	27/07/2018	651169	0.6202	4513594	4.2987
	31-03-19	4513594	4.2987	4513594	4.2987

**d) Shareholding Pattern of top ten Shareholders:
(Other than Directors, Promoters and Holders of GDRs and ADRs):**

SI No	Name	Shareholding at the beginning [01/04/18]/end of the year [31/03/2019]		Cumulative Shareholding during the year [01/04/18 to 31/03/2019]	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	PULKIT.N.SEKHSARIA	1025000	0.9762	1025000	0.9762
2	SHILPA STOCK BROKER PVT LTD	763335	0.7270	1004226	0.9564
3	IFCI VENTURE CAPITAL FUNDS LIMITED (IVCF) *	0	0	824416	0.7852
4	KARVY STOCK BROKING LIMITED	323672	0.3083	352268	0.3355
5	MOHANAKRISHNAN THAVAMANI *	47653	0.0454	235000	0.2238
6	LLOYDS EQUITIES & DEBENTURES LTD	208300	0.1984	208300	0.1984
7	RAKESH MANGILAL BOTHRA	144362	0.1375	179112	0.1706
8	VAIBHAV KUMAR MALIWAL *	0	0	150598	0.1434
9	DIBYENDU PRAKASH BAGCHI *	36000	0.0343	150004	0.1429
10	KHALID ALMAS *	3000	0.0029	137413	0.1309

* Not in the list of Top 10 shareholders as on 01/04/2018. The same has been reflected above since the shareholder was one of the Top 10 shareholders as on 31/03/2019.

e) Shareholding of Directors and Key Managerial Personnel:

Sl No	Shareholding of each Directors and each Key Managerial Personnel	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1.	Arvind Kumar Saraf	3525097	3.3572	3525097	3.3572
2.	R N Pattanayak	500	0.0004	500	0.0004
3	Rishabh Saraf (Resigned on 27.09.2018)	3862425	3.6785	4513594	4.30

INDEBTEDNESS - Indebtedness of the Company including interest outstanding/accrued but not due for payment.

(In Cr.)

	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	62.76	63.46	-	126.22
ii) Interest due but not paid	2.75	1.04	-	3.79
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	65.51	64.50	-	130.01
Change in Indebtedness during the financial year				
* Addition	-	-	-	-
* Reduction	(5.55)	(44.52)	-	(50.07)
Net Change	(5.55)	(44.52)	-	(50.07)
Indebtedness at the end of the financial year				
i) Principal Amount	59.96	19.98	-	79.94
ii) Interest due but not paid	9.55	2.47	-	12.02
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	69.51	22.45	-	91.96

V. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL-

A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

(in lacs)

SN.	Particulars of Remuneration	Name of MD/MTD/Manager	Total Amount
		Mr. Radha Nath Pattanayak	
1	Gross salary		
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	30.00	30.00
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	12.00	12.00
	(c) Profits in lieu of salary under section 17(3) Income- tax Act, 1961	NIL	NIL
2	Stock Option	NIL	NIL
3	Sweat Equity	NIL	NIL
4	Commission - as % of profit - others, specify...	NIL	NIL
5	Others, please specify	NIL	NIL
	Total (A)	42.00	42.00
	Ceiling as per the Act	5% of Net Profit	5% of Net Profit

B. REMUNERATION TO OTHER DIRECTORS

SN.	Particulars of Remuneration	Name of Directors				Total Amount
		Mr. R D Tayal	Mr. Suresh Thakur	Mr. S L Mohan	Mrs. Sonia Dube	
1	Independent Directors					
	Fee for attending board committee meetings (Net)	252000	202500	216000	40500	711000
	Commission					
	Others, please specify					
	Total (1)	252000	202500	216000	40500	711000
2	Other Non-Executive Directors	Mr. Maninder Kohli				
	Fee for attending board committee meetings(Net)	112500	-	-	-	112500
	Commission					
	Others, please specify					
	Total (2)	112500	-	-	-	112500
	Total (B)=(1+2)	364500	202500	216000	40500	823500
	Total Managerial Remuneration					823500
	Overall Ceiling as per the Act					NA

C. REMUNERATION TO KEY MANAGERIAL PERSONNEL OTHER THAN MD/MANAGER/WTD

SN.	Particulars of Remuneration	Key Managerial Personnel			
		CEO	CS	CFO*	Total
1	Gross salary				
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	-	1190322	1225725	2416047
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	-	-	-	-
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-	-	-
2	Stock Option	-	-	-	-
3	Sweat Equity	-	-	-	-
4	Commission		-	-	
	- as % of profit	-	-	-	-
	others, specify...	-	-	-	-
5	Others, please specify	-	-	-	-
	Total	-	1190322	1225725	2416047

* During the Year, Shri Akshaya Kumar Biswal has resigned as the Chief Financial Officer (KMP) of the Company w.e.f 27th September, 2018.

D. DETAILS OF PENALTIES/PUNISHMENT/COMPOUNDING OF OFFENCES

Type	Section of the Companies Act	Brief Description	Details of Penalty / Punishment/ Compounding fees imposed	Authority [RD / NCLT/ COURT]	Appeal made, if any (give Details)
A. COMPANY					
Penalty	N.A	N.A	N.A	N.A	N.A
Punishment	N.A	N.A	N.A	N.A	N.A
Compounding	N.A	N.A	N.A	N.A	N.A
B. DIRECTORS					
Penalty	N.A	N.A	N.A	N.A	N.A
Punishment	N.A	N.A	N.A	N.A	N.A
Compounding	N.A	N.A	N.A	N.A	N.A
C. OTHER OFFICERS IN DEFAULT					
Penalty	N.A	N.A	N.A	N.A	N.A
Punishment	N.A	N.A	N.A	N.A	N.A
Compounding	N.A	N.A	N.A	N.A	N.A

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES

(As prescribed under Section 135 of the Companies Act, 2013 and The Companies (Corporate Social Responsibility Policy) Rules 2014)

1. A brief outline of the Company's CSR policy, including overview of projects or programs proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programs.

The Company's website and the web-link for the same is <http://www.arcotech.in/New14/CSR.pdf>. The primary purpose of the Company's CSR philosophy is to make a meaningful and measurable impact on the lives of economically, physically and socially challenged communities of the country by supporting initiatives aimed at creating conditions suitable for sustainable livelihood in these communities. The Company aims to promote literacy among the disadvantaged people. It promises to undertake measures to eradicate hunger, poverty and malnutrition as well as to improve sanitation, health and hygiene. The CSR activities would be pursued through various initiatives undertaken by the Company or through Arcotech Foundation (AF).

Arcotech Foundation (AF) has been set up as a Public Trust to carry out the Corporate Social Responsibility initiatives of the Company.

2. The Composition of the CSR Committee: Shri Arvind K Saraf (Chairman), Shri RN Pattanayak, Shri Suresh Thakur and Shri Maninder Kohli.

3. Average net profit of the Company for last three financial years: ` 3369.00 Lacs

4. Prescribed CSR Expenditure (2% of the said profits as stated in item 3 above): ` 67.38 Lacs

5. Details of CSR spent during the financial year:

(a) Total amount spent for the financial year (2018-19): ` 6.50 acs

(b) Amount unspent, if any: ` 60.88 Lacs (inclusive of FY2016-17, 2017-18)

(c) Manner in which the amount spent during the financial year is detailed in below.

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
S. No	CSR project or activity identified	Sector in which the Project is covered/ cl. no. Sch-vii of CA-2013	Projects or programs (1) Local area or other Specify (2) The State district and where projects or programs was undertaken	Amount outlay (budget) project or programs wise	Amount spent on the projects or programs Sub-heads: (1) Direct Expenditure on projects or programs (2) Overheads	Cumulative expenditure upto to the reporting period	Amount spent : Direct or through implementing agency*
1	Child Welfare	Cl(viii)	Bhuj,Gujarat	50000	Implementing Agency	50000	Implementing Agency
2	Promoting Sports & Games Activities	Cl(viii)	New Delhi	600000	Direct Expenditure	600000	Direct
	TOTAL			6,50,000		6,50,000	

6. In case the Company has failed to spend the two per cent of the average net profit of the last three financial years or any part thereof, the Company shall provide the reasons for not spending the amount in its Board report.

The Company has been working on identifying the projects for carrying out CSR activities; Company has committed to expense on CSR activities for the welfare of Society and it has initiated long term CSR activities for the Woman empowerment in the field of Sports which is going on and most of the expenses will incur in next year.

7. The CSR Committee of the Board of Directors hereby confirms that the implementation and monitoring of CSR Policy, is in compliance with CSR objectives and CSR Policy of the Company.

NOMINATION & REMUNERATION POLICY**1. INTRODUCTION**

The Company considers human resources as its invaluable assets. This policy on nomination and remuneration of Directors, Key Managerial Personnel (KMPs) and other employees has been formulated in terms of the provisions of the Companies Act, 2013 and the listing agreement in order to pay equitable remuneration to the Directors, KMPs and employees of the Company and to harmonise the aspirations of human resources consistent with the goals of the Company

2. OBJECTIVE AND PURPOSE OF THE POLICY

The objectives and purpose of this policy are:

- 2.1 To formulate the criteria for determining qualifications, competencies, positive attributes and independence for appointment of a Director (Executive and Non-Executive) and recommend to the Board policies relating to the remuneration of the Directors, Key Managerial Personnel and other employees;
- 2.2 To formulate the criteria for evaluation of performance of all the Directors on the Board;
- 2.3 To devise a policy on Board diversity; and
- 2.4 To lay out remuneration principles for employees linked to their effort, performance and achievement relating to the Company's goals

3. CONSTITUTION OF THE NOMINATION AND REMUNERATION COMMITTEE

The Board has reconstituted the "Nomination and Remuneration Committee" of the Board on 8 August, 2015. This is in line with the requirements under the New Act.

The Board has authority to reconstitute this Committee from time to time.

4. APPOINTMENT CRITERIA AND QUALIFICATION

The Board has authority to reconstitute this Committee from time to time:

- 4.1 The committee shall identify and ascertain the integrity, qualification, expertise of the person for appointment as director, KMP or senior management level and recommend to the board his / her appointment.
- 4.2 A person to be appointed as director, KMP or in senior management should possess adequate qualification, expertise and experience for the position he/ she is considered for appointment. The committee has discretion to decide whether qualification, expertise and experience possessed by a person is sufficient/ satisfactory for the concerned person.
- 4.3 A person, to be appointed as director should possess impeccable reputation for integrity, deep expertise and insights in sectors/ areas relevant to the company, ability to contribute to the company's growth and complementary skills in relation to the other Board members.

5. REMOVAL OF DIRECTOR OR KMP

Due to any of the reasons of disqualification mentioned in the Companies Act, 2013 rules made thereunder or under any other applicable Act, rules and regulations, the committee may recommend to the board with reason recorded in writing the removal of a director or KMP subject to the provisions and compliance of the said Act, rules and regulations.

6. RETIREMENT OF DIRECTOR OR KMP

The Whole Time Directors, KMP and senior management personnel shall retire as per the applicable provisions of the companies act, 2013 and the prevailing policy of the company. The board will have the discretion to retain the

Whole Time Director, KMP, senior management personnel in the same position/ remuneration or otherwise, even after attaining the age of retirement, for the benefit of the company.

7. REMUNERATION OF NON EXECUTIVE DIRECTORS

Non-executive Directors (NED) are remunerated by way of Sitting Fee for each meeting of the Board/ Committees of the Board attended by them.

8. REMUNERATION OF WHOLE TIME DIRECTOR, KEY MANAGERIAL PERSONNEL AND SENIOR EXECUTIVES

The following elements are taken into consideration for determining the Remuneration of Executive Director, KMP and Senior Executives:

- 8.1** The remuneration policy reflects a balance between the interests of company's main stakeholders as well as a balance between the Company's short term and long term strategy. As a result, the structure of the remuneration package for the Directors, KMP and Senior Executives is designed to balance short term operational performance with the medium and long term objective of creating sustainable value within the Company, while taking into account the interests of its stakeholders. Company strives for a high performance in the field of sustainability and aims to maintain a good balance between economic gain, respect for people and concern for the environment.
- 8.2** In designing and setting the levels of remuneration for the Directors, KMP and Senior Executives, the Committee also takes into provisions of the Corporate Governance regulations, societal and market trends and the interests of stakeholders.
- 8.3** The remuneration and commission to be paid to the Whole Time Director/Managing Director shall be in accordance with the provisions of the Companies Act, 2013, and the rules made thereunder.
- 8.4** Increments to the existing remuneration / compensation structure may be recommended by the Committee to the Board which should be within the limits approved by the Shareholders in the case of Managing Director.

9. REMUNERATION OF OTHER EMPLOYEES

Remuneration of middle and lower level employees of the Company consists mostly of fixed pay which is reviewed on an annual basis. Increase in the remuneration of employees is affected based on an annual review taking into account performance of the employee and the performance of the Company also.

10. TERMS OF APPOINTMENT

Term of Whole Time Director/Managing Director is generally for a period of 3 years and renewed for similar periods from time to time. However, the Board reserves the right to increase/ decrease the period as it may deem fit. However, Company also employs contractual employees as 'consultants' for shorter periods on need basis.

11. LOANS

There is no system of granting of loans to Directors, KMP and employees of the Company

12. POLICY REVIEW

This policy is framed based on the provisions of the Companies Act, 2013 and rules thereunder and the requirements of the Regulation 19 of SEBI (LODR) Regulations, 2015.

In case of any subsequent changes in the provisions of the Companies Act, 2013 or any other regulations which makes any of the provisions in the policy inconsistent with the Act or regulations, then the provisions of the Act or regulations would prevail over the policy and the provisions in the policy would be modified in due course to make it consistent with law.

This policy shall be reviewed by the Nomination and Remuneration Committee as and when any changes are to be incorporated in the policy due to change in regulations or as may be felt appropriate by the Committee.

FORM NO. MR-3

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED ON MARCH 31, 2019

To,

The Members

ARCOTECH LIMITED

CIN: L34300HR1981PLC012151

181, Industrial growth Centre, Sector 3,

Bawal Dist. Rewari, Haryana-123501

We have conducted the secretarial audit of the compliance of the applicable statutory provisions and the adherence to good corporate practices by **ARCOTECH LIMITED** (hereinafter referred as 'the Company'), having its Registered Office at 181, Industrial growth Centre, Sector 3, Bawal, Dist. Rewari, Haryana-123501. Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minutes books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the company has, during the audit period covering the financial year ended on 31st March, 2019, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by **ARCOTECH LIMITED** ("the Company") for the financial year ended on March 31, 2019 according to the provisions of:

- I. The Companies Act, 2013 ('the Act') and the rules made hereunder;
- II. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under; III. The Depositories Act, 1996 and the Regulations and Bye-laws framed there under.
- IV. Foreign Exchange Management Act, 1999 and the rules and regulations made there under.
- V. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ("SEBI ACT"):-
 - (a) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018
[Not applicable as the Company has not issued any further share capital during the period under review];
 - (b) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 including the provisions with regard to disclosures and maintenance of records required under the said Regulations;
 - (c) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015
 - (d) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client.
 - (e) The Securities and Exchange Board of India (Share Based employee Benefits) Regulations, 2014; **[Not applicable as the Company has not offered any shares or granted any options pursuant to any employee benefit scheme during the period under review]**
- VI. Laws are not specifically applicable to the industry to which the Company belongs as identified by the management.

Further the management has identified and confirmed that the following law applicable to the Company:

Taxation Laws- Income Tax Act, 1961; Goods & Service Act 2017.

Environment Laws-The Environment (Protection) Act, 1986; Air (Prevention and Control of Pollution) Act, 1981; Water (Prevention and Control of Pollution) Act, 1974; Labour Laws- Employees State Insurance Act, 1948; Employees Provident Fund And Misc. Provisions Act, 1952; Factories Act, 1948; Payment of Wages Act, 1948; Minimum Wages Act, 1948; Industrial Disputes Act, 1947; Payment of Bonus Act, 1965; Payment of Gratuity Act, 1972; Employees Compensation Act, 1923; Contract Labour (Regulation and Abolition) Act,

For the compliances of above Laws, our examination and reporting is based on the documents, records and files as produced and shown to us and the information and explanations as provided to us, by the officers and management of the company and to the best of our judgment and understanding of the applicability of the different enactments upon the Company, are adequate systems and processes exist in the Company to monitor and ensure compliance above law.

We have also examined compliance with the applicable clauses of the following:

1. Secretarial Standards with respect to Meeting of Board of Directors (SS-1) and General Meeting (SS-2) issued by the Institute of Company Secretaries of India. However the stricter applicability of the Secretarial Standards is to be observed by the company.
2. Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards etc. mentioned above.

We further report that, there were no event/actions in pursuance of:

- a) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;
- b) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009 and
- c) The Securities and Exchange Board of India (Buy Back of securities), Regulation, 1998, requiring compliances thereof by the Company during the financial year.

We further report that the compliance by the Company of applicable financial laws, like direct and indirect tax laws, has not been reviewed in this audit since the same have been subject to review by the statutory financial auditor and other designated professionals.

We further report that:

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors, Independent Directors and Woman Director. As per the information furnished, adequate notice(s) were given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent generally Seven days in advance to all Directors and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

We further report that:

The Company has a duly constituted Corporate Social Responsibility Committee in accordance with Section 135 (1) of the Act. However total amount required to be spent by the Company as per section 135 of Companies Act, 2013 during the year is Rs. 67.38 lakhs and amount spent during the year on the activities mentioned in Schedule VII of the Companies Act, 2013 is Rs. 6.50 lakhs. The justification of the difference amount shall be reported in the Annual Report 2018-19.

The minutes of the Annual General Meeting, Board Meetings and Committee Meetings of the Board were duly signed by the Chairman. All the decisions of the Board were unanimously passed and no dissenting views have been recorded in the Minutes of the Board. Further Company could fill the vacancy of Chief Financial Officer (Key Managerial Personnel) with lapse of Six Months.

As per the Annual Report of the Company, the Company has generally made all the disclosures as required by the Act and the Listing Agreement with the Stock Exchange.

As per the records, the Company generally filed all the forms, returns, documents and resolutions as were required to be filed with the Registrar of Companies ('ROC') within the stipulated time. Further, the company is recommended to take utmost care while filling the forms with MCA.

We further report that during the audit period the Company has issued and allotted 3500000 Non-Convertible, Non-Cumulative Redeemable Preference Shares of face value of Rs. 100/-each, at an issue price of Rs. 100/-Per Preference Share to M/s. Sidhant Distributors Pvt. Ltd. on Preferential allotment basis in accordance with the provisions of section 42,55,62 and all other provisions of companies act,2013, against the conversion of outstanding loan amount of Rs. 35 crores, which is not listed in any Stock Exchange.

Place: New Delhi

Date: 13th August 2019

For A. Upadhyaya & Associates

Company Secretaries

CS Abhimanyu Upadhyaya

(Prop.)

FCS 5921

C.P. No. 4729

Note: This report is to be read with 'Annexure I' attached herewith and forms and integral part of this report.

ANNEXURE I

To,
The Members
ARCOTECH LIMITED
CIN: L34300HR1981PLC012151
181, Industrial growth Centre, Sector 3,
Bawal Dist. Rewari, Haryana-123501

1. Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on the random test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Where ever required, we have obtained the management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on random test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: New Delhi

Date: 13th August 2019

For A. Upadhyaya & Associates

Company Secretaries

CS Abhimanyu Upadhyaya

(Prop.)

FCS 5921

C.P. No. 4729

REPORT ON CORPORATE GOVERNANCE

(Pursuant to Schedule V of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015)

1. COMPANY'S PHILOSOPHY ON CORPORATE GOVERNANCE

Corporate Governance stands for responsible and transparent management and corporate control oriented towards a sustainable increase in value. Corporate Governance ensures fairness, transparency and integrity of the management. It further inspires and strengthens investor's confidence and commitment to the Company. These principles apply to all corporate functions and are an essential foundation for sustainable corporate success. We are convinced that good corporate governance enhances the confidence placed in our Company by our shareholders, business partners, employees and the financial markets.

Governance Structure

The Company's governance structure broadly comprises the Board of Directors and the Committees of the Board at the apex level and the Management structure at the operational level. This layered structure brings about a harmonious blend in governance as the Board sets the overall corporate objectives and gives direction and freedom to the Management to achieve these corporate objectives within a given framework, thereby bringing about an enabling environment for value creation through sustainable profitable growth.

Board of Directors - The Board plays a key role in ensuring that the Company runs on sound business practices and that its resources are utilized for creating sustainable and optimum growth. The Board operates within the framework of a well-defined responsibility format which enables it to discharge its fiduciary duties of safeguarding the interest of the Company.

Committees of Board - To provide a more focused attention on various facets of business and for better accountability, the Board has constituted the following committees viz. Audit Committee, Stakeholders' Relationship Committee, Nomination and Remuneration Committee, Risk Management Committee and CSR Committee. Each of these Committees has been mandated to operate within a given framework.

Management Structure - Management Structure for running the business of the Company as a whole is in place with appropriate delegation of powers and responsibilities. This broadly comprises of the Chief Financial Officer, Chief General Manager, General Managers (HOD), Company Secretary and others Operational Head.

Shri Akshaya Kumar Biswal has resigned as the Chief Financial Officer (KMP) of the Company w.e.f 27th September, 2018.

2. BOARD OF DIRECTORS

The Board of Directors is entrusted with the ultimate responsibility of the management, general affairs, direction and performance of the Company and has been vested with requisite powers, authorities and duties.

The Composition of Board of Directors of the Company is in conformity with the requirements of Regulation 17 of SEBI (LODR) Regulations, 2015 and has an optimum combination of Executive and Non-Executive Directors. Currently(as on 31.03.2019), the Board of your Company consists of Seven (7) Directors comprising One Executive Director, Two Non-Executive-non-independent Director and Four independent Directors including One Women Independent Director.

Sl.	Name	DIN	Attendance		Number of other Directorship and Committee Membership/Chairmanship ²			Relationship with other Directors	No. of Shares and convertible Instrument held by non Executive directors
			Board Meetings held in FY 2018-19	Last AGM	Other Director ships ¹	Total Committee Memberships	Total Committee Chairmanships		
1	Sh. Arvind Kumar Saraf Chairman & Promoter	00057323	6	Yes	11	Nil	Nil	Father of Sh. Rishabh Saraf	3525097
2	Sh. Radha Nath Pattanayak Whole Time Director - Executive	01189370	6	Yes	5	4	Nil	Nil	-
3	Sh. R D Tayal Independent Director	00021148	6	Yes	4	Nil	3	Nil	-
4	Sh. Sham Lal Mohan, Independent Director	00028126	6	Yes	6	2	Nil	Nil	-
5	Sh. Maninder Kohli Non-Independent Director	01173387	3	No	3	2	Nil	Nil	-
6	Sh. Suresh Thakur Independent Director	00702975	5	Yes	4	3	Nil	Nil	-
7	Smt. Sonia Dube Independent Women Director	01994475	1	NO	0	2	Nil	Nil	-
8	Sh. Rishabh Saraf, Non- Executive Director (resigned on 27.09.2018)	02103953	2	No	15	1	Nil	Son of Sh. Arvind Kumar Saraf	4513594

¹ The Directorships, held by Directors as mentioned above, include all directorship including Alternate Directorships and Directorships in foreign companies, Companies registered under Section 8 of the Companies Act, 2013 and Private limited companies.

² Represents Chairmanships/ Memberships of Audit Committee and Stakeholders Relationship Committee of Indian Limited Companies.

a) Dates of Board Meetings and number of Directors present thereat

Sl. No.	Dates of Board Meeting	Number of Directors Present
1	29.05.2018	6
2	06.08.2018	7
3	27.09.2018	5
4	14.11.2018	6
5	13.02.2019	6
6	30.03.2019	5

b) Board Committees

The Board has constituted its following Permanent Committees:-

- a) Audit Committee** comprising of three Independent Directors and one executive Director. Shri R D Tayal, Non-Executive Independent Director is the Chairman of the committee. Mr. Krishan Kumar Mishra Company Secretary is Secretary to the committee.

Name of Director	Category
Shri Rameshwar Dayal Tayal	Independent Director
Shri Suresh Thakur	Independent Director
Shri Radha Nath Pattanayak	Executive Director
Smt. Sonia Dube	Independent Director

Terms of Reference of Audit Committee

Terms of reference of Audit Committee are in accordance with the requirements of Section 177 of the Companies Act, 2013 and regulation 18 of SEBI (LODR) Regulations, 2015 and Part C of Schedule II of the SEBI (LODR), Regulations, 2015 which, inter alia, include:-

- Recommendation for appointment, remuneration and terms of appointment of auditor of the company
- Review and monitor the auditor's independence and performance and effectiveness of audit process
- Examination of financial statement and auditor's report thereon,
- Approval or any subsequent modification of transactions of the company with related parties
- Scrutiny of inter corporate loans and investments
- Valuation of undertaking or assets of the company, wherever it is necessary
- Evaluation of internal financial controls and risk management
- Monitoring the end use of funds raised through public offers and related matters
- Review of Internal Audit Reports.
- Adequacy of financial disclosures

AUDIT COMMITTEE MEETINGS HELD IN FY 2018-2019

Date of Meeting	Committee Members	Attendance
29.05.2018	Shri. Rameshwar Dayal Tayal	Yes
	Shri. Radha Nath Pattanayak	Yes
	Shri. Suresh Thakur	Yes
06.08.2018	Smt. Sonia Dube	No
	Shri. Rameshwar Dayal Tayal	Yes
	Shri. Radha Nath Pattanayak	Yes
14.11.2018	Shri. Suresh Thakur	No
	Smt. Sonia Dube	Yes
	Shri. Rameshwar Dayal Tayal	Yes
13.02.2019	Shri. Suresh Thakur	Yes
	Shri. Radha Nath Pattanayak	Yes
	Smt. Sonia Dube	No
	Shri. Rameshwar Dayal Tayal	Yes
	Shri. Suresh Thakur	Yes
	Shri. Radha Nath Pattanayak	Yes
	Smt. Sonia Dube	No

- b) **Nomination and Remuneration Committee** re-constituted on 08.08.2015 comprising of three non executive- Independent Directors. Shri Rameshwar Dayal Tayal, Independent Director is the chairman of the committee.

Name of Director	Category
Shri. Rameshwar Dayal Tayal	Independent Director
Shri. S. L. Mohan	Independent Director
Shri. Suresh Thakur	Independent Director

Terms of Reference of Nomination and Remuneration Committee

The Nomination and Remuneration Committee assist the Board in overseeing the method, criteria and quantum of compensation for directors and senior management based on their performance and defined assessment criteria.

The Committee formulates the criteria for evaluation of the performance of Independent Directors & the Board of Directors; identifying the persons who are qualified to become directors, and who may be appointed in senior Management and recommend to the Board their appointment and removal. The terms of the reference of

Nomination and Remuneration Committee covers the areas mentioned under Part D of Schedule II of SEBI (LODR) Regulation 2015 as well as section 178 of the Companies Act, 2013.

Nomination and Remuneration Committee Meetings held in FY 2018-2019		
Members	Date & Attendance	
Shri Rameshwar Dayal Tayal	06.08.2018	Yes
Shri S L Mohan		Yes
Shri. Suresh Thakur		No
Shri Rameshwar Dayal Tayal		Yes
Shri S L Mohan	13.02.2019	Yes
Shri. Suresh Thakur		Yes

- c) **Stakeholders Relationship Committee** re-constituted on 08.08.2015 comprising of two Non-Executive Independent Director and one Executive Director and one Non-Executive Director. Shri Rameshwar Dayal Tayal, Independent Director is the chairman of the committee.

Name of Director	Category
Shri Rameshwar Dayal Tayal	Independent Director
Smt Sonia Dube	Independent Director
Shri Radha Nath Pattanayak	Executive Director
Shri Rishabh Saraf (Resigned on 27.09.2018)	Non-Executive Director

Sl. No.	Date of Committee Meeting	Number of Directors Present
1	13.02.2019	2

Investor Complaints

Particulars	Year ended (31.03.2018)
Pending at the beginning of the year	NIL
Received during the year	0
Disposed of during the year	0
Remaining unresolved at the end of the year	NIL

Warning against Insider Trading

Comprehensive guidelines advising and cautioning the management, staff and other relevant business associates on the procedure to be followed while dealing with the securities of the Company have been issued and implemented.

- d) **Corporate Social Responsibility Committee** re-constituted on 08.08.2015 comprising of Two Non-Executive Non-Independent Director, One Executive Director and one Independent Director. Shri Arvind Kumar Saraf, Non-Executive Non-Independent Director is the Chairman of the Committee

Name of Director	Category
Shri Arvind Kumar Saraf	Non Executive Non Independent Director
Shri Radha Nath Pattanayak	Executive Director
Shri. Suresh Thakur	Independent Director
Shri. Maninder Kohli	Non Executive Non Independent Director

- e) **Risk management Committee** comprising of Two Non-Executive Non-Independent Director, One Executive Director and one Non-Executive Independent Director. Shri Arvind Kumar Saraf, Non-Executive Non-Independent Director is the Chairman of the Committee.
- f) **Share Transfer Committee** constituted on 08.08.15 comprising of two non-executive-non Independent directors and one executive director. Shri Arvind Kumar Saraf, Non-Executive Non-Independent Director is the Chairman of the Committee.

- g) **Committee of Directors (Strategic Business & Administrative Committee)** constituted on 08.08.15 comprising of two non-executive director, one executive director and one convenor of the committee. Shri Arvind Kumar Saraf, Non-Executive Non-Independent Director is the Chairman of the Committee.

3) **Remuneration of Non Executive, Independent & Executive Directors:-**

The Board has constituted a Nomination & Remuneration committee to recommend/ review remuneration of Whole Time Director/ Managing Director on the basis of their performance

A. **Non-Executive Directors**

Sitting Fees- Non-executive Directors (NED) except Mr. Arvind Kumar Saraf and Rishabh Saraf (resigned on 27.09.2018) are remunerated by way of Sitting Fee for each meeting of the Board/ Committees of the Board attended by them.

B. **Executive Directors**

Following remuneration was paid to Whole-Time Director

(Rs. in Lacs)

Sl. No.	Name	Salary	Perquisites/ Benefits(*)	Total
1.	Shri Radha Nath Pattanayak Whole-time Director	30.00	12.00	42.00

(*) His present term of the contract is upto 30th September, 2021.

The detailed policy of the company on the nomination and remuneration is annexed to director's report.

4) **Annual Compliance with the Code of Conduct for Board of Directors and Senior Management Personnel**

Pursuant to the Schedule V (Part D) of SEBI (Listing Obligation and Disclosure Requirement) Regulation, 2015, I hereby confirm that the Company has received affirmations on compliance with the Code of Conduct for the financial year ended March 31, 2019 from all the Board Members and Senior Management Personnel.

-Sd/-

R. N. Pattanayak
Whole Time Director
DIN NO. 01189370

5) **General Meetings**

A. **Annual General Meetings**

Last three Annual General Meetings of the company were held as under:-

Relating to	Place	Date & Time
2015-2016	181, Sector-3, Industrial Growth Centre, Bawal, Distt. Rewari, Haryana	28 th September, 2016 at 11.00 A.M
2016-2017	181, Sector-3, Industrial Growth Centre, Bawal, Distt. Rewari, Haryana	29 th September, 2017 at 11.00 A.M
2017-2018	181, Sector-3, Industrial Growth Centre, Bawal, Distt. Rewari, Haryana	27 th September, 2018 at 11.00 A.M

The following were the special resolutions passed in the previous three AGMs

Financial Year	Date of AGM	Particulars
2015-2016	28 th September, 2015	Nil
2016-2017	28 th September, 2016	Nil
2017-2018	29 th September, 2017	Nil

All the ordinary resolutions as set out in the respective AGM notices were duly passed by the members. In compliance with Regulation 44 of SEBI (LODR), Regulations, 2015 & Section 108 and other applicable provisions

of the Companies Act, 2013 read with related rules, the company provides e-voting facility to all its members to enable them to cast votes electronically.

B. Extra Ordinary General Meeting

Relating to	Place	Date & Time	Special Resolution(s)
2018-2019	181, Sector-3, Industrial Growth Centre, Bawal, Distt. Rewari, Haryana	29 th March, 2019 at 11.00 A.M	1. Re-classification and consequent Increase in the Authorized Capital 2. Alteration of Capital Clause contained in the Memorandum of Association due to Re-classification and consequent Increase in the Authorized Share Capital 3. Issue And Allot Preference Shares on Preferential Basis:

6) Meetings of Independent Directors

Pursuant to Schedule IV of the Companies Act, 2013 and the Rules made thereunder, and Regulation 25 (3) of SEBI (LODR) Regulations, 2015, the independent directors of the company shall hold at least one meeting in a year, without the attendance of non-independent directors and members of the management. All the independent directors of the company shall strive to be present at such meeting.

The company's Independent Directors met on 13th February, 2019 without the presence of non-independent directors and members of the management.

Familiarisation programme for Independent Director

Letter of Appointment(s) are issued to independent Directors setting out in details, the terms of appointment, duties, responsibilities and expected time commitments. Each newly appointed Director is taken through a formal induction program including the presentation from the chairman and Whole Time director on the Company's Manufacturing, Marketing, Finance and other important aspects. The web link for the Familiaration programmes of independent Directors is <http://www.arcotech.in/New14/Familiarisation-programmes-for-Independent-Directors.pdf>

7) Vigil Mechanism and Whistle Blower Mechanism

Pursuant to Section 177(9) and (10) of the Companies Act, 2013 and Regulations 22 of SEBI (LODR), Regulations, 2015, the Company has a Whistle-Blower Policy for establishing a vigil mechanism for Directors and employees to report genuine concerns regarding unethical behavior, actual or suspected fraud or violation of the Company's Code of Conduct and Ethics policy. The said mechanism also provides for adequate safeguards against victimization of persons who use such mechanism and makes provision for direct access to the chairperson of the Audit Committee in appropriate or exceptional cases. We affirm that no employee of the Company was denied access to the Audit Committee.

8) Board Evaluation

One of the key functions of the board is to monitor and review the board evaluation framework. The board works with the nomination and remuneration committee to lay down the evaluation criteria for the performance of executive/ non-executive/ independent directors.

The evaluation framework for assessing the performance of Directors comprises of the following key areas:

- Attendance of Board Meetings and Board Committee Meetings
- Quality of contribution to Board deliberations
- Strategic perspectives or inputs regarding future growth of Company and its performance
- Providing perspectives and feedback going beyond information provided by the management
- Commitment to shareholder and other stakeholder interests

The evaluation involves Self-Evaluation by the Board Member and subsequently assessment by the Board of Directors. A member of the Board will not participate in the discussion of his / her evaluation

9) Disclosures

- The company did not have any materially significant related party transactions, which may have potential conflict with the interest of the company. Nature and particulars of all other related party transactions have been Disclosed and are forming part of the notes to the accounts.
- During the last three years, the company has complied with requirements relating to capital markets and no

- penalty or stricture has been imposed on the company by Stock Exchange(s) or SEBI or any statutory authority.
- (c) The Company has announced Whistle Blower policy. All the personnel of the Company have the access to the Audit Committee.
 - (d) The Company is complying with all mandatory requirements of corporate governance as specified in SEBI (LODR) Regulations, 2015. Non mandatory requirements of corporate governance are also being complied to a large extent as specified in this report.
 - (e) The Company has framed a Material Subsidiary policy and the same is placed on the Company's website <http://www.arcotech.in/New14/Policy-for-Determining-Material-Subsidiaries.pdf>
 - (f) The Company has framed related party transaction policy and is placed on the Company website <http://www.arcotech.in/New14/Policy-on-Materiality-of-and-dealing-with-Related-Party-Transaction.pdf>
 - (g) During the financial year ended 31st March, 2019 the Company did not engage in commodity hedging activities
 - (h) During the financial year ended 31st March, 2019, a total fee of Rs. 8, 25,000 was paid to the Statutory Auditor by the Company.

10) Secretarial Audit

Pursuant to section 204 of the Companies Act, 2013 and rules thereunder, the Board of Directors of the company appointed Mr. Abhimanyu Upadhyaya, Company Secretary in practice, to conduct Secretarial Audit of records and documents of the company. The Secretarial Audit Report confirms that the company has complied with all the applicable provisions of the Companies Act, 2013, Depositories Act, 1996, Listing Agreement with Stock Exchange and all the regulations and guidelines of Securities Exchange Board of India (SEBI), as applicable to the company. The audit also covers the reconciliation on a quarterly basis, the total admitted capital with NSDL and CDSL, and the total issued and listed capital. The audit has confirmed that the total issued/ paid up capital is in agreement with the aggregate total number of shares in physical forms and the total number of dematerialized shares held with NSDL and CDSL. Further, the company voluntarily adheres to the various Secretarial Standards issued by the Institute of Company Secretaries of India (ICSI). The Secretarial Audit Report forms a part of Annual Report and self-explanatory.

11) Means of Communication:

- (a) Quarterly Results : Through Intimation to Stock Exchange.
- (b) Newspaper wherein results normally published : Jansatta, Financial Express
- (c) Website, where results displayed : www.arcotech.in, www.bseindia.com and www.nseindia.com
- (d) Shareholder's Grievances/ Complaint : Correspondence through Emails/ Courier/ Registered Letters

12) General Shareholder Information

Annual General Meeting

-Date and Time

26th September, 2019 at 11.00 A.M.

-Venue

At the Registered Office of the company

Address for Correspondence: Plant Location & Registered Office

181, Sector-3, Industrial Growth Centre,
Bawal, District Rewari, Haryana-123501

Financial Year

1 April, 2018 to 31 March, 2019

Financial Calendar (Tentative)

Results for the Quarter ended :-

- 30th Sept, 2019 : Second week of November, 2019
- 31st Dec, 2019 : Second week of February, 2020
- Annual Audited Results for 2019-2020 : May, 2020
- AGM for the year 2019-2020 : September, 2020

Book Closure Date

Friday, 20th September, 2019 to Thursday, 26th September, 2019 (both days inclusive)

Listing details

Bombay Stock Exchange (BSE) & National Stock Exchange (NSE)

The Stock Code is 532914 & ARCOTECH and demat ISIN no. is INE574I01035. The Listing fees as applicable have been paid for the Financial Year 2018-19.

Registrars and Transfer Agents

Maheshwari Datamatics Pvt Ltd,
23, R.N. Mukherjee Road, 5th Floor,
Kolkata-700001 Ph:- 033-2248 2248, Fax : 033-51410591

Share Transfer System

The company has entered into Tri-partite Agreement with both NSDL & CDSL. However, Equity shares sent for transfer in physical form are registered by the Registrar and Share Transfer Agents within 15 days of receipt of the documents, if the request is valid and complete in all respects.

Dematerialisation of Shares & liquidity

The Shares of the Company are required to be traded in the dematerialized form. Full liquidity has been provided through tie-ups with NSDL & CDSL and shares can be transferred through Demat Accounts of transferor & transferee maintained with recognized DPs. As on 31.03.2019, a total of 103650700 equity shares of Rs 2/- (Two) forming 98.71% of the share capital stands dematerialized. Company has designate CDSL as a Designated Depository.

Outstanding GDRs/ADRs/Warrants or any Convertible instruments, conversion date and likely impact on equity

NIL

Designated Email ID for investor grievance

In terms of Regulation 46 of SEBI (LODR) Regulations, 2015 the designated email address for investor complaint is investors@arcotech.in

Market Price Data for the financial year

The monthly high and low quotations as well as the volume of shares traded at BSE during the year 2018-19 are as under :-

Monthly Highs and Lows and Volume Traded at the BSE, 2018-19

Months	High (Rs.)	Low (Rs.)	Volume
April,2018	39.95	26.50	2200946
May,2018	34.20	22.05	3947707
June,2018	22.75	12.50	1352157
July,2018	15.83	13.00	673573
August,2018	19.93	13.20	975699
September,2018	15.79	10.27	332904
October,2018	9.76	4.78	1867181
November,2018	9.63	6.69	938572
December,2018	8.12	6.40	196573
January,2019	7.59	5.55	230954
February,2019	5.90	4.25	266262
March,2019	7.49	5.12	364579

13) Distribution of Equity Shareholding as on 31st March, 2019

No. of Equity Shares Held	Holders	%age	Amount (Rs.)	%age	No. of Shares
Upto 5000	29972	92.4406	25822220	12.2963	4171934
5001 to 10000	1378	4.2501	10271718	4.8913	3494741
10001 to 20000	626	1.9307	9358160	4.4563	4124085
20001 to 30000	187	0.5768	4635266	2.2073	2497294
30001 to 40000	77	0.2375	2770910	1.3195	1751278
40001 to 50000	47	0.1450	2137928	1.0181	2007637
50001 to 100000	72	0.2221	4980324	2.3716	4679080
100001 and above	64	0.1974	150023474	71.4397	82273951

- 14) Details of Equity Shareholders holding more than 1% of the shares as at 31.03.2019- NIL
- 15) There has been no instance of non-compliance of any requirement of Corporate Governance Report.
- 16) **ADOPTION OF NON-MANDATORY REQUIREMENT**
- A. **The Board:** The Company has non-executive Chairperson, he may be entitled to maintain a chairperson's office at the listed company expense and also allowed reimbursement of expenses incurred in performance of his duties.
 - B. **Shareholder Rights:** Half yearly financial results are forwarded to the Stock Exchanges and uploaded on the website of the Company like quarterly results.
 - C. **Audit Qualifications:** During the year under review, there was no audit qualification in the Auditors Report on the Company's financial Statements.
 - D. **Separate posts of Chairman and CEO:** The Company has only chairman.
 - E. **Reporting of Internal Auditor:** Internal Auditor reporting their findings on the internal audit to the Audit Committee Members.
- 17) The Company has fully complied with the applicable requirement specified in Reg. 17 to 27 and clause (b) to (m) of sub Regulation (2) of Regulation 46.
- 18) **Disclosure of Accounting Treatment**
- The Company has followed the Treatment laid down in the Ind AS prescribed by the Institute of Chartered Accountants of India; in preparation of financial Statements. There are no audit qualifications in the Company's financial statements for the Year under review.
- 19) **Demat Suspense Account/Unclaimed Suspense Account**
- During the Year Company has not been dealing with Securities issued pursuant to the public issue or any other issue, physical or otherwise, which remain unclaimed and/or are lying in the escrow Account. There was no need to create the Demat Suspense Account/Unclaimed Suspense account.

For and on behalf of the Board

Place : New Delhi
Date : 13th August, 2019

Arvind Kumar Saraf
Chairman
DIN NO.00057323

COMPLIANCE CERTIFICATE

To,
The Members of Arcotech Limited,

We have examined the Compliance of conditions of Corporate Governance by Arcotech Limited ('the Company') for the year ended on 31st March, 2019 as stipulated in Chapter IV of SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015 pursuant to the Listing Agreement of the said company with the stock exchanges in India.

The Compliance of conditions of corporate governance is the responsibility of the Company's management. Our examination has been limited to review of the procedures and implementation thereof, adopted by the Company, for ensuring the compliance with the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on financial statements of the Company. In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the provisions as specified in Chapter IV of SEBI (listing Obligations and Disclosure Requirements) Regulations, 2015 pursuant to the Listing Agreement of the said Company with Stock exchanges.

We further state that this certificate is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

Place: New Delhi
Date: 13th August, 2019

For A. Upadhyaya & Associates
Company Secretaries
Abhimanyu Upadhyaya
(Prop.)
M.No. 5921
C.P. No. 4729

FORM NO. AOC -2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014.

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub section (1) of section 188 of the Companies Act, 2013 including certain arm's length transaction under third proviso thereto.

1. Details of contracts or arrangements or transactions not at Arm's length basis.

There were no contracts or arrangements or transactions entered into during the year ended March 31, 2019 which were not at arm's length basis.

2. Details of contracts or arrangements or transactions at Arm's length basis.

The transactions entered into by the company with related party were at arm's length price and are in the normal course of the business of the company.

Related Party Disclosures

a) Name of the related party and nature of relationship, where there are transactions (Rs. in Lakhs)

i.	Key management personnel and their remuneration:	Nature of relationship	March 31,2019	March 31,2018
	Mr. R N Pattanayak	Whole time director	42.00	42.00
	Mr. Krishan Kumar Mishra	Company secretary	11.90	9.72
	Mr. Akshaya Kumar Biswal	Chief financial officer (upto 27.09.2018)	12.26	8.55
ii.	Transaction with related parties other than KMP	Nature of relationship	March 31,2019	March 31,2018
	Arcotech Advanced Metaliks Ltd.	Enterprise significantly influenced by directors or their relatives		
	- Sale of goods/job work		31.89	-
	- year end balance		Nil	-
	Sidhant Distributors Pvt. Ltd.	Shareholder		
	- Loan taken/repaid		3,500.00	-
	- year end balance		Nil	-

**For and on behalf of the Board of Directors
Arcotech Limited**

**-Sd/-
Arvind Kumar Saraf
Director
DIN NO. 00057323**

INDEPENDENT AUDITOR'S REPORT

To the Members of Arcotech Limited

Report on the Audit of the Ind AS Financial Statements

Opinion

We have audited the accompanying Ind AS financial statements of Arcotech Limited ("the Company"), which comprise the Balance sheet as at March 31, 2019, the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Ind AS financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2019, its loss including other comprehensive income its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Ind AS financial statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules there under, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report:

S.No.	Key Audit Matter	Auditor's Response
1.	<u>Impairment of property, plant and equipment</u> Carrying value of property, plant and equipment totaling Rs. 19,188.88 lacs as disclosed in Note: 2 represent significant balances recorded in the financial statement. The evaluation of the recoverable amount of these assets requires significant judgement in determining the key assumptions supporting the expected future cash flows of the business and the utilisation of the relevant assets.	<u>Principal Audit Procedures</u> Our audit procedures to assess the carrying value of PPE and related assets included the following: > In conjunction with valuation reports of PPE and techno economic viability report of third party specialists given by the company we assessed and verified: • The estimated useful lives and residual values of PPE and related assets with reference to the company's historical experience and future operating plans and retirement of PPE, policies adopted by valuation reports and techno economic viability report given by third party specialists; • Discussing indicators of possible impairment of PPE and related assets with management of the company and, where such indications were identified, assessing whether management had performed impairment testing in accordance with the requirements of the prevailing Indian accounting standards;

2.	<u>Judgment in valuation of deferred income tax positions</u> The company has recognised deferred income tax assets and deferred income tax liabilities of Rs. 5650.77 lacs and Rs. 3098.09 lacs respectively as at 31.03.2019. The net deferred tax assets in the balance sheet as at 31.03.2019 is Rs. 2552.67 lacs. Under Ind-AS,12 the Company is required to measure annually deferred tax position. This area was significant to our audit because of the related complexity and subjectivity of the assessment process, which is based on assumptions taken by the management that are affected by expected future cash flows & expected future market or economic conditions.	<u>Principal Audit Procedures</u> Our audit procedures included, amongst others, using techno economic viability report of third party specialists given by the management to assist us in evaluating the assumptions and methodologies used for the recoverability of deferred tax assets related to operations of the company by reviewing their future profitability, management's forecasts and local fiscal developments. We also focused on the adequacy of the Company's disclosures on deferred income tax positions and assumptions used. We also discussed with the senior management and evaluate the discussions with them about the future expected cash flows and expected future market complexity or economic conditions. The Company's disclosures concerning income taxes are included in note given as per the financial statements.
3.	<u>Evaluation of uncertain tax positions</u> The Company has material uncertain tax positions including matters under dispute which involves significant judgment to determine the possible outcome of these disputes.	<u>Principal Audit Procedures</u> Obtained details of completed tax assessments and demands at the year ended March 31, 2019 from management. We involved our team to verify the management's underlying assumptions in estimating the tax provision and the possible outcome of the disputes. Our team also considered legal precedence and other rulings in evaluating management's position on these uncertain tax positions. Additionally, we considered the effect of new information in respect of uncertain tax positions as at April 1, 2018 to evaluate whether any change was required to management's position on these uncertainties.

Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the Directors Report, but does not include the Ind AS financial statements and our auditor's report thereon.

Our opinion on the Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. When we will read the director's report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and if the other information is not corrected after communicating with those charged with governance, seek to have the uncorrected material misstatement appropriately brought to the attention of users for whom the audit report is prepared.

Responsibilities of Management for the Ind AS Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these Ind AS financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with [the Companies (Indian Accounting Standards) Rules, 2015, as amended in 2019. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design,

implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Ind AS financial statements, including the disclosures, and whether the Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in

extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended in 2019.
 - (e) On the basis of the written representations received from the directors as on March 31, 2019 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2019 from being appointed as a director in terms of Section 164 (2) of the Act;
 - (f) With respect to the adequacy of the internal financial controls over financial reporting of the Company with reference to these Ind AS financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure B" to this report;
 - (g) In our opinion, the managerial remuneration for the year ended March 31, 2019 has been paid / provided by the Company to its directors in accordance with the provisions of section 197 read with Schedule V to the Act;
 - (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements- Refer Note 33 to the financial statements.
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

For Amit Joshi & Associates
Chartered Accountants
FRN No. 004898N

(Sanjay Joshi)
Partner
M. No. 084687

Place : New Delhi
Date : 29.05.2019

Annexure 'A' to the Auditor's Report on the accounts of Arcotech Limited for the year ended March 31, 2019 as required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013

- (i) a. The company is maintaining proper records showing full particulars, including quantitative details and situation of fixed assets.
- b. Fixed assets have been physically verified by the management at reasonable intervals during the year and there is a programme of verification which, in our opinion, is reasonable having regard to the size of the company and the nature of its assets. The discrepancies noticed on such verification were not material.
- c. According to the information and explanations given by the management, the title deeds of the immovable properties are held in the name of the company.
- (ii) Physical verification of inventory has been conducted at reasonable intervals by the management and no material discrepancies have been noticed on such physical verification.
- (iii) The company has not granted any loans, secured or unsecured to companies, firms, limited liability partnerships or other parties covered in the register maintained under section 189 of the Companies Act, 2013. Consequently clauses (iii)(a),(iii)(b) and (iii)(c) of paragraph 3 of the order are not applicable.
- (iv) In respect of loans, investments, guarantees and security, wherever applicable, the provisions of section 185 and 186 of the Companies Act, 2013 have been complied with.
- (v) The Company has not accepted deposits during the year within the meaning of sections 73 to 76 or any other relevant provisions of the Companies Act, 2013 and the rules framed there under. Consequently, this clause of paragraph 3 of the order is not applicable.
- (vi) We have broadly reviewed the cost records maintained by the company pursuant to the Companies (Cost Records and Audit) Rules, 2014 prescribed by the Central Government under section 148(1) of the Companies Act, 2013 and are of the opinion that prima facie the prescribed cost records have been maintained. We have however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.
- (vii) a. According to the information and explanations given to us and the records of the company examined by us, in our opinion, the company has not been irregular in depositing undisputed statutory dues including provident fund, employee's state insurance, income tax, sale tax, goods & service tax, duty of customs, duty of excise, value added tax, cess and other material statutory dues with the appropriate authorities and there were no arrears of such dues at the end of the year which have remained outstanding for a period of more than six months from the date they became payable, except income tax and other dues amounting to Rs. 2701.49 and 59.01 lacs respectively.
- b. The dues outstanding in respect of income tax, sales tax, service tax, duty of customs, duty of excise and value added tax on account of any dispute are as follows :

Name of the Statute	Nature of dues	Amount (Rs. in Lacs)	Period to which amount relates	Forum where dispute is pending
Income Tax Act, 1961	Income Tax Demand	521.41	AY 2013-14	CIT (Appeals), New Delhi
Income Tax Act, 1961	Income Tax Demand	535.78	AY 2014-15	CIT (Appeals), New Delhi
Income Tax Act, 1961	Income Tax Demand	590.91	AY 2015-16	CIT (Appeals), New Delhi
Income Tax Act, 1961	Income Tax Demand	304.95	AY 2016-17	CIT (Appeals), New Delhi

- (viii) According to the records of the company and the information and explanations given to us, there was delay in repayment of term loans amounting to Rs 3006.78 lacs and interest of Rs 860.44 lacs up to 410 days as on March 31, 2019. The company does not have any debentures and loan from government.

- (ix) a. According to the records of the company and the information and explanations given to us, the company has not raised moneys by way of initial public offer or further public offer including debt instruments during the year. Consequently, this clause of paragraph 3 of the order is not applicable.
- b. According to the information and explanations given to us, term loans raised during the year were applied for the purpose for which those are raised.
- (x) During the course of our examination of the books and records of the company, carried out in accordance with the generally accepted auditing practices in India, we have neither come across any instance of fraud on or by the company by its officers or employees noticed or reported during the year, nor have we been informed of any such case by the management.
- (xi) According to the information and explanation given to us, we report that the managerial remuneration has been paid/provided in accordance with requisite approvals mandated by the provisions of the section 197 read with Schedule V to the Companies Act, 2013.
- (xii) The company is not a Nidhi Company. Consequently, clause 3(xii) of paragraph 3 of the order is not applicable.
- (xiii) According to the records of the company and the information and explanations given to us, all transactions with related parties during the year are in compliance with the provisions of section 177 and 188 of the Companies Act, 2013 where applicable and the details have been disclosed in the financial statements as required by the applicable accounting standards.
- (xiv) According to the records of the company and the information and explanations given to us, the company has complied with provisions of section 42 of the Companies Act, 2013 in respect of the preferential allotment of non convertible non cumulative redeemable preference shares during the period under review. According to the information and explanations given by the management, we report that the amount raised have been used for the purposes for which the funds were raised..
- (xv) According to the records of the company and the information and explanations given to us, the company has not entered into any non cash transactions with directors or persons connected with him. Consequently, clause 3(xv) of paragraph 3 of the order is not applicable.
- (xvi) According to the records of the company and the information and explanations given to us, the company is not required to be registered under section 45IA of the Reserve Bank of India Act, 1934.

For Amit Joshi & Associates
Chartered Accountants
FRN No. 004898N

(Sanjay Joshi)
Partner
M. No. 084687

Place : New Delhi
Date : 29.05.2019

ANNEXURE 'B' TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS OF ARCOTECH LIMITED**Report on the Internal Financial Controls under Clause (i) of Sub-Section 3 of Section 143 of the Companies Act, 2013("the Act")**

We have audited the internal financial controls over financial reporting of Arcotech Limited ("the Company") as of March 31, 2019 in conjunction with our audit of the Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the Internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143 (10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operate effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting include obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Ind AS financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion

or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2019, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

For Amit Joshi & Associates
Chartered Accountants
FRN No. 004898N

(Sanjay Joshi)
Partner
M. No. 084687

Place : New Delhi
Date : 29.05.2019

Balance Sheet as at March 31,2019

(In Lacs,INR)

Particulars	Note No.	As at March 31,2019	As at March 31,2018
ASSETS			
Non-current assets			
Property, plant and equipment	2	19,188.88	18,615.61
Financial assets			
Investments	3	12.46	30.86
Other financial assets	4	58.38	48.19
Deferred tax assets (net)	16	2,552.68	-
Other non-current assets	5	742.28	694.36
Subtotal		22,554.68	19,389.02
Current assets			
Inventories	6	11,574.13	19,975.23
Financial assets			
Trade receivables	7	28,299.19	28,851.91
Cash and cash equivalents	8	12.15	12.22
Other bank balances	9	209.51	2,150.57
Other current financial assets	10	9.09	18.35
Other current assets	11	8,974.12	7,531.02
Subtotal		49,078.19	58,539.30
Total Assets		71,632.87	77,928.32
EQUITY AND LIABILITIES			
Equity			
Equity share capital	12	2,100.00	2,100.00
Other equity	13	13,998.74	20,601.70
Total equity		16,098.74	22,701.70
LIABILITIES			
Non-current liabilities			
Financial Liabilities			
Borrowings	14	2,801.93	7,536.06
Provisions	15	150.04	177.18
Deferred tax liabilities (Net)	16	-	1,934.25
Sub total		2,951.97	9,647.49
Current liabilities			
Financial Liabilities			
Borrowings	17	36,376.37	22,945.82
Trade payables	18		
- total outstanding dues of micro and small enterprises		1.27	-
- total outstanding dues other than micro and small enterprises		393.80	11,309.16
Other financial liabilities	19	11,649.42	6,431.98
Other current liabilities	20	373.51	190.86
Provisions	21	1,265.04	1,269.97
Current tax liabilities (net)	22	2,522.75	3,431.34
Sub total		52,582.16	45,579.12
Total Equity and Liabilities		71,632.87	77,928.32

Summary of significant accounting policies

1

The accompanying notes are an integral part of these financial statements

As per our report of even date

For and on behalf of the board

For Amit Joshi & Associates
Chartered Accountants
FRN: 004898N

A.K.Saraf
Chairman
DIN :00057323

R.N.Pattanayak
Whole Time Director
DIN:01189370

S.L.Mohan
Director
DIN:00028126

Sanjay Joshi
Partner
Membership No.084687

R.D.Tayal
Director
DIN :00021148

Suresh Thakur
Director
DIN:00702975

Maninder Kohli
Director
DIN:01173387

Place:New Delhi
Date: 29.05.2019

Krishan Kumar Mishra
Company Secretary
M.No: ACS 25496

Statement of Profit and Loss for the year ended March 31,2019

(In Lacs,INR)

Particulars	Note No.	Year ended March 31,2019	Year ended March 31,2018
Revenue from Operations	23	45,211.10	78,422.11
Other Income	24	227.80	425.92
Total Income		45,438.90	78,848.03
Expenses:			
Cost of raw materials & components consumed	25	46,748.33	63,904.63
Changes in inventories of finished goods, stock-in -trade and work-in-progress	26	2,200.48	1,820.68
Excise duty on sale of goods		-	2,024.81
Employee benefits expense	27	658.70	884.86
Finance costs	28	5,808.64	6,406.19
Depreciation	2	1,059.91	775.87
Other expenses	29	2,666.10	2,598.59
Total expenses		59,142.16	78,415.63
Profit/(Loss) before exceptional items and tax		(13,703.26)	432.40
Exceptional Items		-	-
Profit/(Loss) before tax		(13,703.26)	432.40
Tax expense:			
Current tax		-	224.36
Deferred tax		(4,488.53)	41.12
MAT credit entitlement		-	(224.36)
Total tax expense		(4,488.53)	41.12
Profit after tax		(9,214.73)	391.28
Other comprehensive income ('OCI')			
Items that will not be reclassified to profit or loss			
Remeasurement gain/ (loss) on defined benefit plans		4.54	(0.05)
Income tax effect		(1.60)	0.01
Net other comprehensive income/ (expense) not to be reclassified to profit or loss in subsequent periods		2.94	(0.04)
Other comprehensive income/(expense) for the year,net of tax		2.94	(0.04)
Total comprehensive income for the year,net of tax		(9,211.78)	391.24
(comprising Profit (Loss) and Other Comprehensive Income for the period)			
Earnings per equity share :	30		
(1) Basic		(8.78)	0.37
(2) Diluted		(8.78)	0.37
(Nominal value per share Rs.2)			

The accompanying notes are an integral part of these financial statements

As per our report of even date

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Director
DIN:01173387

Place:New Delhi
Date:29.05.2019

Krishan Kumar Mishra
Company Secretary
M.No: ACS 25496

Statement of Cash Flow for the year ended March 31,2019

(In Lacs,INR)

Particulars	As at March 31, 2019	As at March 31, 2018
Cash flow from operating activities		
Profit before tax	(13,703.26)	432.40
Non cash adjustments to reconcile profit before tax to net cash flows :		
Depreciation and amortization	1,059.91	775.87
Finance costs	5,808.64	6,406.19
Interest Income	(80.07)	(135.09)
Unrealised foreign exchange fluctuation (net)	(47.92)	(5.16)
Mark to market ('MTM') of financial instruments	-	(0.55)
Bad debts/advances written off	-	37.79
Provision for doubtful debts	40.00	37.50
Sundry balance written of (creditors)	(37.86)	-
Gain on sale of PPE	(0.22)	(13.65)
	6,742.48	7,102.90
Movement in working capital :		
Inventories	8,401.10	2,459.95
Trade receivable	512.72	(4,409.22)
Other bank balances	1,941.06	1.44
Current and non-current financial assets	(0.93)	10.27
Other current and non-current assets	(1,443.10)	993.73
Current and non-current financial liabilities	(265.40)	523.31
Other current and non-current liabilities	182.65	(218.52)
Current and non-current provisions	(27.31)	10.28
Trade payable	(10,876.23)	(770.39)
	(1,575.44)	(1,399.15)
Cash generated From operations	(8,536.22)	6,136.14
Direct taxes paid (net of refunds)	(908.59)	(527.96)
Net cash flow used in operating activities (A)	(9,444.81)	5,608.18
Cash flow from investing activities		
Purchase of property, plant and equipment	(1,634.96)	(5,482.97)
Proceeds from sale of property, plant and equipment	2.00	27.36
(Increase) / decrease in CWIP	-	1,438.02
(Increase) / decrease in investments	18.40	(16.51)
Interest received	80.07	135.09
Net cash used in investing activities (B)	(1,534.49)	(3,899.01)
Cash flow from financing activities		
Net proceeds / (repayment) of non current borrowings	(3,040.59)	1,222.78
Net proceeds / (repayment) of current borrowings	13,430.55	3,424.65
Interest paid	(2,019.55)	(5,973.53)
Dividend paid	-	(315.00)
Tax on dividend paid	-	(64.13)
Proceeds from issue of Preference share capital	2,608.82	-
Net cash used in financing activities (C)	10,979.23	(1,705.23)

Net change in cash & cash equivalents (A + B + C)	(0.07)	3.94
Cash and cash equivalents at the beginning of year	12.22	8.28
Cash and cash equivalents at the end of year	12.15	12.22
Components of cash and cash equivalents		
Cash in hand	1.25	4.02
Balance with banks	10.90	8.20
Total cash & cash equivalents (refer note no 8)	12.15	12.22

Other disclosure required by Ind AS -7

Changes in liabilities arising from financing activities

Particulars	Opening Balance	Cash Flows	Non - cash changes			Closing Balance
			Acquisitions	Transaction cost adjustment	Fair value changes	
Long term borrowings	7,536.06	(4,675.86)	-	(58.27)	-	2,801.93
Short term borrowings	22,945.82	13,430.55	-	-	-	36,376.37
Lease liabilities	-	-	-	-	-	-
Assets held to hedge	-	-	-	-	-	-
Total liabilities from financing activities	30,481.89	8,754.68	-	(58.27)	-	-

The accompanying notes are an integral part of these financial statements

As per our report of even date

For and on behalf of the board

For Amit Joshi & Associates
Chartered Accountants
FRN: 004898N

A.K.Saraf
Chairman
DIN :00057323

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Suresh Thakur
Director
DIN:00702975

Maninder Kohli
Director
DIN:01173387

Place: New Delhi
Date: 29.05.2019

Krishan Kumar Mishra
Company Secretary
M.No: ACS 25496

Statement of changes in equity for the year ended March 31,2019

(In Lacs,INR)

a) Equity share capital

Equity shares of Rs 2 each issued,subscribed and fully paid	Number of shares	Amount
As at 1 April 2017	21,000,000	2,100.00
Changes in equity share capital	84,000,000	-
As at 31 March 2018	105,000,000	2,100.00
Changes in equity share capital	-	-
As at 31 March 2019	105,000,000	2,100.00

b) Other equity

	Retained earnings	Securities Premium	Equity component of compound financial instrument	Total
Balance as at 1 April 2017	20,179.59	410.00	-	20,589.59
Add : Profit for the year	391.28	-	-	391.28
Other comprehensive income (net of tax)	(0.04)	-	-	(0.04)
Total comprehensive income for the year	391.24	-	-	391.24
Less : Dividends paid			-	
- Final dividend for the FY 2016-17	315.00	-	-	315.00
- Dividend distribution tax	64.13	-	-	64.13
Balance as at March 31,2018	20,191.70	410.00	-	20,601.70
Add : Profit for the year	(9,214.73)	-	-	(9,214.73)
Other comprehensive income (net of tax)	2.94	-	-	2.94
Total comprehensive income for the year	(9,211.78)	-	-	(9,211.78)
Issue of 1% non-cumulative redeemable preference share	-	-	2,608.82	2,608.82
Balance as at March 31,2019	10,979.92	410.00	2,608.82	13,998.74

As per our report of even date

For and on behalf of the board

For Amit Joshi & Associates
Chartered Accountants
FRN: 004898N

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Maninder Kohli
Director
DIN:01173387

Place:New Delhi
Date: 29.05.2019

Krishan Kumar Mishra
Company Secretary
M.No: ACS 25496

1. Summary of Significant accounting policies**a) Corporate information:**

Arcotech Limited ('the Company') is a public company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India. Its shares are listed on two recognised stock exchanges in India. The registered office of the Company is located at 181, Sector - 3, Industrial Growth Centre, Bawal-123501. Dist. Rewari, Haryana, India. The Company is principally engaged in the business of manufacturing non-ferrous semis.

b) Basis of preparation

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015, as amended thereafter.

The financial statements are prepared on a historical cost basis, except for the following assets and liabilities:

- certain financial assets and financial liabilities which have been measured at fair value.

All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of products and services and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current and noncurrent classification of assets and liabilities. Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The financial statements for the year ended March 31, 2019 were authorized and approved for issue by the Board of Directors on May 29, 2019.

c) Fair value measurements

The Company measures financial instruments at fair value on initial recognition and at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- i. In the principal market for the asset or liability or
- ii. In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy. This is described, as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- i. Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- ii. Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- iii. Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the

nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above. This note summarises accounting policy for fair value. Other fair value related disclosures are given in the relevant notes:

Disclosures for valuation methods, significant estimates and assumptions (refer note no.42)

Financial instruments (including those carried at amortised cost) (refer note no.42)

d) Property, plant and equipment

Items of Property, plant and equipment are carried at cost less accumulated depreciation and impairment losses, if any. The cost of an item of Property, plant and equipment comprises its purchase price, including import duties and other non refundable taxes or levies and any directly attributable cost of bringing the assets to its working condition for its intended use and any trade discount and rebates are deducted in arriving at purchase price. Cost of the assets also includes interest on borrowings attributable to acquisition of qualifying fixed assets up to the date the asset is ready for its intended use incurred up to that date. It also includes the present value of the expected cost for the decommissioning and removing of an asset and restoring the site after its use, if the recognition criteria for a provision are met.

Expenditure incurred after the property, plant and equipment have been put into operation, such as repairs and maintenance, are normally charged to the statements of profit and loss in the period in which the costs are incurred. Major inspection and overhaul expenditure is capitalized if the recognition criteria are met.

The Company identifies and determines cost of each component/ part of Property, plant and equipment separately, if the component/ part has a cost which is significant to the total cost of the Property, plant and equipment and has useful life that is materially different from that of the remaining asset.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income/other expenses in statement of profit and loss.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss, when the asset is derecognised.

Cost of Items of Property, plant and equipment not ready for intended use as on the balance sheet date, is disclosed as capital work in progress. Advances given towards acquisition of property, plant and equipment outstanding at each balance sheet date are disclosed as Capital Advance under Other non current assets.

Subsequent expenditure relating to fixed assets is capitalised only if such expenditure results in an increase in the future benefits from such asset beyond its previously assessed standard of performance.

Depreciation is the systematic allocation of the depreciable amount of PPE over its useful life and is provided on a straight-line basis over the useful lives as prescribed under Schedule II to the Act or as per technical assessment. The residual values, useful lives and method of depreciation of property, plant and equipment is reviewed at each financial year end and adjusted prospectively, if appropriate.

Depreciation on additions (disposals) is provided on a pro-rata basis i.e. from (up to) the date on which is asset is ready to use /(disposed of). Freehold land is not depreciated.

e) Inventories

- Inventories of raw materials, stores & consumables are valued at cost on FIFO basis.
- Inventories of work in process are valued at lower of cost and net realizable value.
- Inventories of finished goods are valued at cost or market value whichever is lower.
- Saleable dust and scrap are valued at estimated realizable value.

Cost of inventories also include all other costs incurred in bringing the inventories to their present location and condition. Net realisable value is estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated cost necessary to make the sale.

f) Foreign currencies

Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are restated into the functional currency using exchange rates prevailing on the balance sheet date.

Gains and losses arising on settlement and restatement of foreign currency denominated monetary assets and liabilities are included in the statement of profit and loss.

The Company's financial statements are presented in INR. The Company determines the functional currency as INR on the basis of primary economic environment in which the entity operates.

g) Revenue recognition

Effective April 1, 2018, the Company has applied Ind AS 115 which establishes a comprehensive framework

for determining whether, how much and when revenue is to be recognised. The company applied five step model under Ind AS-115 for revenue recognition. Revenue is recognised upon transfer of control products & service to customer in an amount that reflects the consideration which company expects to receive in exchange for those products & services.

Dividend income from investments is recognised when the right to receive the payment is established.

h) Retirement and other employee benefits

Gratuity and Leave encashment, which are defined benefit plan, are accrued based on an independent actuarial valuation, which is done based on project unit credit method as at the balance sheet date. The Company recognizes the net obligation of a defined benefit plan in its balance sheet as an asset or liability. Gains and losses through re-measurements of the net defined benefit liability/(asset) are recognized in other comprehensive income. In accordance with Ind AS, re-measurement gains and losses on defined benefit plans recognized in OCI are not to be subsequently reclassified to statement of profit and loss. As required under Ind AS compliant Schedule III, the Company transfers it immediately to retained earnings.

The eligible employees of the Company receive benefits from a provident fund, which is defined contribution retirement plan. Both the eligible employee and the Company make monthly contributions to the provident fund plan equal to a specified percentage of the covered employee's salary.

i) Income tax

Income tax expense comprises current tax and deferred tax during the year. Current and deferred tax are recognised in the statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income tax for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities based on the taxable income for that period. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the balance sheet date.

Deferred income taxes are recognised for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their tax bases in the financial statements. The effect on deferred tax assets and liabilities of a change in the tax rates is recognised using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date. Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set-off current tax assets against current tax liabilities and the deferred tax assets and deferred tax liabilities relate to the same taxable entity and the same taxation authority.

Minimum alternate tax ('MAT') credit is recognized as a deferred tax asset only when and to the extent there is convincing evidence that the Company will pay normal income tax during the specified period. Such asset is reviewed at each Balance Sheet date and the carrying amount of MAT credit asset is written down to the extent there is no longer a convincing

evidence to the effect that the Company will pay normal income tax during the specified period.

j) Provisions and contingent liabilities

A provision is recognized when an enterprise has a present obligation (legal or constructive) as result of past event and it is probable that an outflow of embodying economic benefits of resources will be required to settle a reliably assessable obligation. Provisions are determined based on best estimate required to settle each obligation at each balance sheet date. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

k) Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs.

l) Impairment of non financial assets

The Company tests for impairments at the close of the accounting period if and only if there are indications that suggest a possible reduction in the recoverable value of an asset. If the recoverable value of an asset, i.e. the net realizable value or the economic value in use of a cash generating unit, is lower than the carrying amount of the asset the difference is provided for as impairment. However, if subsequently the position reverses and the recoverable amount becomes higher than the then carrying value, the provision to the extent of the then difference is reversed, but not higher than the amount provided for.

m) Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and at bank, demand deposits with banks & other short-term highly liquid investments with original maturities of three months or less which is subject to insignificant risk of change in value.

n) Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Financial assets are recognised when the Company becomes a party to the contractual provisions of the instrument. On initial recognition, a financial asset is recognised at fair value, in case of Financial assets which are recognised at fair value through profit and loss (FVTPL), its transaction cost are recognised in the statement of profit and loss. In other cases, the transaction cost are attributed to the acquisition value of the financial asset.

For all subsequent measurements financial assets are classified in following categories:

A) Debt instruments

- i. Debt instruments at amortised cost: The debt instrument is at amortised cost if the asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and contractual terms of the asset

give rise on specified dates to cash flow that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such assets are subsequently measured at amortised cost using the effective interest rate method (EIR). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees for cost that are an integral part of the EIR. This category generally applies to trade and other receivables.

- ii. Debt instruments fair value through OCI (FVOCI): A debt instrument is classified as FVOCI if the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The Company has not classified any financial assets under this category.
- iii. Debt instruments at fair value through profit and loss (FVTPL): Debt instruments not classified as amortised cost or FVOCI are classified as FVTPL. The Company has not classified any financial assets under this category.

B) Equity instruments

Equity instruments held for trading are classified as FVTPL. For all other equity instruments, the Company may make an irrevocable election to present in OCI the subsequent changes in fair value. The Company makes such election on an instrument by instrument basis. If the Company decides to classify an equity instrument as FVOCI, then all fair value changes on the instrument, excluding dividends are recognized in OCI. There is no recycling of the amount from OCI to Statement of Profit and Loss. However, the Company may transfer the cumulative gain or loss within equity. The Company has not classified any financial assets under this category.

C) De- recognition

A financial asset (or wherever applicable, a part of the financial asset or part of a group of similar financial assets) is primarily derecognized when the rights to receive cash flow from the assets have expired or the Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flow in full to a third party under a pass through arrangement and either a) the Company has transferred substantially all risks and rewards of the asset or b) has transferred control of the asset.

D) Impairment of financial assets

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss and credit risk exposure on the financial assets that are debt instruments measured at amortized costs eg deposits, trade receivables, and bank balances.

The Company follows simplified approach for recognition of impairment loss allowance on trade receivables. The application of simplified approach does not require the Company to track changes in credit risk. Rather it recognizes impairment loss allowance based on lifetime ECL's at each reporting date, right from its initial recognition.

For recognition of impairment loss on other financial assets and risk exposure, the Company determines

that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12 month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If in subsequent period the credit risk reduces since initial recognition, then the entity reverts to recognizing impairment loss allowance based on 12 month ECL.

As a practical expedient, the Company uses a provision matrix to determine impairment loss allowance on portfolio of its trade receivables. The matrix is based on its historically observed default rates over the expected life of the trade receivables and is adjusted for forward looking estimates. At every reporting date, the historical observed default rates are updated and changes in the forward looking estimates are analysed.

Impairment loss allowance including ECL or reversal recognized during the period is recognized as income/expense in the Statement of Profit and Loss (P&L). This amount is reflected under the head 'other expenses' in the P&L. The impairment loss is presented as an allowance in the Balance Sheet as a reduction from the net carrying amount of the trade receivable, deposits respectively.

Financial Liability

All financial liabilities are initially recognised at fair value. The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdraft.

Subsequent measurement of financial liabilities depends on their classification as fair value through Profit and loss or at amortized cost.

All changes in fair value of financial liabilities classified as FVTPL is recognized in the Statement of Profit and Loss. Amortised cost category is applicable to loans and borrowings, trade and other payables. After initial recognition the financial liabilities are measured at amortised cost using the EIR method. Gains and losses are recognized in profit and loss when the liabilities are derecognized as well as through the EIR amortization process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or cost that are integral part of the EIR. The EIR amortization is included as finance cost in the Statement of Profit and Loss.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of the new liability. The difference in the respective carrying amounts is recognized in the Statement of Profit and Loss.

Reclassification of financial instruments

After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets, which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. If the Company reclassifies the financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in the business model.

Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount is reported in the Balance Sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

o) Dividend distribution

Dividend distribution to the Company's shareholders is recognised as a liability in the Company's financial statements in the period in which the dividends are approved by the Company's shareholders.

2 PROPERTY, PLANT & EQUIPMENT

(In Lacs, INR)

Particulars	Land	Buildings	Plant & Machinery	Furniture	Office Equipment	Vehicles	Total
COST							
Gross Value as at 01 April 2017	263.45	1,770.50	17,226.69	148.02	40.89	203.92	19,653.47
Additions	-	-	5,480.76	2.21	-	-	5,482.97
Disposals	-	-	-	-	-	47.56	47.56
Gross Value as at 31 March 2018	263.45	1,770.50	22,707.45	150.24	40.89	156.35	25,088.87
Additions	-	-	1,634.96	-	-	-	1,634.96
Disposals	-	-	-	-	-	35.69	35.69
Gross Value as at 31 March 2019	263.45	1,770.50	24,342.41	150.24	40.89	120.66	26,688.14
DEPRECIATION							
As at 01 April 2017	-	343.67	5,100.32	108.83	36.17	142.27	5,731.25
Charge for the year	-	55.67	686.59	6.32	2.06	25.23	775.87
Disposals	-	-	-	-	-	33.86	33.86
At 31 March 2018	-	399.34	5,786.91	115.15	38.23	133.64	6,473.26
Charge for the year	-	55.67	986.81	6.41	0.57	10.45	1,059.91
Disposals	-	-	-	-	-	33.91	33.91
At 31 March 2019	-	455.01	6,773.72	121.56	38.80	110.18	7,499.26
NET BLOCK							
As at 31 March 2019	263.45	1,315.49	17,568.69	28.68	2.09	10.48	19,188.88
As at 31 March 2018	263.45	1,371.16	16,920.54	35.09	2.66	22.71	18,615.61

Notes to Financial Statements for the year ended March 31,2019

(In Lacs,INR)

	As at March 31, 2019	As at March 31, 2018
3 Non-Current Investments		
Bank deposits	0.89	19.92
Investments in mutual funds (Fair value through profit & loss) (100000.00 units @Rs.11.57/- , Previous year: 100000 units @Rs.10.94/-)	11.57	10.94
Total	12.46	30.86
4 Other non-current financial assets		
Unsecured,considered good	58.38	48.19
Security deposits	58.38	48.19
5 Other non-current assets		
Capital advances	742.28	694.36
Total	742.28	694.36
6 Inventories		
(As taken,valued & certified by the management)		
Raw materials	244.23	6,421.00
Work-in-progress	10,957.30	10,775.74
Finished goods	245.42	2,627.46
Stores,spares & packing materials	127.18	151.03
Total	11,574.13	19,975.23
7 Trade Receivables (carried at amortised cost)		
Trade receivables	28,299.19	28,851.91
Total	28,299.19	28,851.91
Breakup of Trade Receivables		
Trade receivables considered good- Secured	-	-
Trade receivables considered good- Unsecured	28,376.69	28,889.41
Trade receivables which have significant increase in credit risk	-	-
Trade receivables - credit impaired	-	-
Impairment allowance (allowance for bad and doubtful debts)		
Less: Provision for doubtful debts	77.50	37.50
Total	28,299.19	28,851.91
There are no dues due by directors or other officers of the company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any director is a partner or a director or member.		
8 Cash and cash equivalents (carried at amortised cost)		
Cash in hand	1.25	4.02
Balances with banks		
In current accounts	10.90	8.20
Total	12.15	12.22
9 Other Bank balances (carried at amortised cost)		
Unpaid dividend account (restricted)	11.45	11.46
Bank deposits with original maturity greater than 3 but less than 12 months*	198.06	2,139.11
Total	209.51	2,150.57

* Fixed deposits of Rs.116.65 lacs have been used as margin money for availment of non fund based limits from banks.

* Fixed deposits (refer note 3 & 9) of Rs.82.30 lacs have been given towards contractual obligations.

**10 Other current financial assets
(carried at amortised cost)**

Security Deposits	7.76	9.01
Other receivables	1.33	9.34
Total	9.09	18.35

11 Other current assets

Unsecured, considered good		
Advance to suppliers	7,911.16	6,311.54
Prepaid expenses	1.40	18.64
Balances with statutory/ government authorities	1,061.56	1,200.84
Total	8,974.12	7,531.02

12 Equity Share capital

a. Authorised, issued, subscribed and paid-up share capital and par value per share

Authorised share capital

105,000,000 (previous year 17,50,00,000) equity shares of Rs.2/- each	2,100.00	3,500.00
((previous year Rs.2/- each)		
3,500,000 Preference Shares of Rs. 100/- each	3,500.00	-

Issued, subscribed and paidup share capital

10,50,00,000 (previous year 10,50,00,000) equity shares of Rs.2/- each	2,100.00	2,100.00
(previous year Rs.2/- each)		
Total	2,100.00	2,100.00

b. Rights, preferences and restrictions attached to shares

The company has only one class of equity shares having par value of Rs.2 per share. Each holder of equity share is entitled to one vote per share. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing annual general meeting, except in case of interim dividend. In the event of liquidation of the Company, the equity shareholders are eligible to receive remaining assets of the Company, after distribution of all preferential amounts, in the proportion to their shareholding.

c. Details of shareholders holding more than 5% shares in the company :

	As at March 31,2019		As at March 31,2018	
	No. of shares held	% held	No. of shares held	% held
Equity:				
Sidhant distributors pvt ltd	2,06,76,700	19.69%	2,37,85,700	22.65%
Vasudha commercial pvt ltd	15,94,600	14.57%	1,86,94,600	17.80%
Preference:				
Sidhant distributors pvt ltd	35,00,000	100.00%	-	0.00%

d. Reconciliation of number of equity shares outstanding at the beginning of the year and at the end of year:

Number of shares outstanding at the beginning of year	10,50,00,000	2,10,00,000
Number of shares increased due to sub division of shares	-	8,40,00,000
Number of shares outstanding at the end of year	10,50,00,000	10,50,00,000

e. Reconciliation of number of preference shares outstanding at the beginning of the year and at the end of year:

Number of shares outstanding at the beginning of year	-	-
Number of shares increased due to issue of shares	35,00,000	-
Number of shares outstanding at the end of year	35,00,000	-

During the year, the company issued non convertible non cumulative redeemable preference shares for the tenure of 120 months to Sidhant distributors pvt. Ltd. With dividend of 1% per annum. The equity portion of these redeemable preference shares on account of dividend percentage being lower than effective market rate is recorded in Other equity.

	As at March 31, 2019	As at March 31, 2018
13 Other Equity		
Retained earnings	10,979.92	20,191.70
Securities Premium	410.00	410.00
Issue of 1% non-cumulative redeemable preference share	2,608.82	-
Total	13,998.74	20,601.70
a) Retained earnings		
Balance as per previous financial statements as at April 1	20,191.70	20,179.59
Add : Profit for the year	(9,214.73)	391.28
Items of other comprehensive income recognised directly in retained earnings		
- Remeasurments of post employment benefit obligations, net of tax	2.94	(0.04)
Less: Appropriations		
Final dividends paid for FY 2016-17	-	315.00
Dividend distribution tax	-	64.13
Closing balance	10,979.92	20,191.70
Retained earnings comprises prior and current year's undistributed earnings after tax.		
b) Securities Premium		
Balance as per previous financial statements as at April 1	410.00	410.00
Add/Less : Movement during the year	-	-
Closing balance	410.00	410.00
Securities premium reserve is used to record the premium on issue of shares. The reserve is utilised in accordance with the provision of the Companies Act.		

	As at March 31, 2019		As at March 31, 2018	
	Non current	Current	Non current	Current
14 Borrowings (carried at amortised cost)				
<i>Secured Term Loans</i>				
From Banks & Financial Institutions				
Term loan-IFCI	963.24	5,032.55	2,711.16	3,564.71
Total (a)	963.24	5,032.55	2,711.16	3,564.71
<i>Unsecured Term Loans</i>				
From Banks & Financial Institutions				
IFCI venture capital funds ltd.	122.86	850.70	618.44	625.00
JM financial products limited	824.25	-	4,206.46	-
Liability component of redeemable preference shares	891.58	-	-	-
Total (b)	1,838.69	850.70	4,824.90	625.00
Total (a) + (b)	2,801.93	5,883.25	7,536.06	4,189.71

- 14.1** Term loan-IFCI of Rs 101.00 Crores was sanctioned during the FY 2014-15 and carries interest @ BR+2.80% repayable in quarterly installments of Rs 5.94 crores.

- 14.2 Term Loans from IFCI is/was secured by first charge ranking pari passu on the entire immovable and movable fixed assets of the company i.e. land, building, plant and machinery and other fixed assets; second charge ranking pari passu on the current assets of the company and personal guarantee of promoter director.
- 14.3 Unsecured loan-JM financial products Ltd of Rs 45.00 crores was sanctioned during the FY 2017-18 and carries interest @ 12.75 % p.a. and company made prepayment of Rs. 35.00 crores during F.Y-2018-19 and remaining amount of Rs. 8.55 Crores repayable in quarterly instalments of Rs 1.42 crores from June 2022.
- 14.4 Unsecured loan from IFCI venture capital funds Ltd carries interest @ BR+1.55% and is repayable in quarterly installment of Rs.1.25 crores , commencing from August 2017 against personal guarantee of promoter director.
- 14.5 Current maturities of long term loans have been considered as other current financial liabilities in note no. 19
- 14.6 **Default in the payment of principal & Interest of Bank and financial institutions**

The overdue interest on borrowing amounts to ₹ 860.44 lacs as reflected in the Ind AS financial statement "Other Financial Liabilities" which was outstanding as at March 31, 2019.

The overdue principal repayments of borrowing amounts to ₹ 3,006.78 lacs as reflected in the Ind AS financial statement "Financial Liabilities" which was outstanding as at March 31, 2019.

Lender wise details for overdue interest & overdue principal repayments are given below:

Name of Bank /FI	Overdue Principal repayments as at 31.03.2019 (₹ In lacs)	Period of default for overdue principal repayment	Overdue Interest as at 31.03.2019 (₹ In lacs)	Period of default for overdue interest
IFCI Limited	2,656.08	1 -410 days	774.72	1 -382 days
IFCI Venture Capital Fund Ltd	350.70	1 -213 days	85.72	1 -183 days

15 **Provisions - Long term**
Provision for employee benefits:

Provision for gratuity
Provision for leave benefit

Other provisions:

Provision for decommissioning liability
Provision for statutory dues

Total

As at March 31, 2019		As at March 31, 2018	
Non current	Current	Non current	Current
	38.51	58.55	7.30
	1.33	11.72	1.67
	110.20	106.91	-
	-	-	1,261.00
Total	150.04	177.18	1,269.97

16 **Income taxes**

a) **Deferred tax liabilities (net)**

Deferred tax liability on account of :

Depreciation for the year
Other timing differences

Total deferred tax liability

Deferred tax assets on account of :

Other employee benefits
On unused tax losses
Other timing differences

Total deferred tax asset

Net deferred tax assets/ (liability)

As at March 31, 2019	As at March 31, 2018
(3,076.15)	(2,475.47)
(21.94)	(40.59)
(3,098.09)	(2,516.06)
16.56	26.20
5,607.14	543.20
27.08	12.41
5,650.77	581.81
2,552.68	(1,934.25)

b) **Reconciliation of tax expenses and the accounting profit multiplied by India's domestic tax rate for March 31, 2019 and March 31, 2018**

	As at March 31, 2019	As at March 31, 2018
Accounting profit before tax	(13,703.26)	432.40
At India's statutory Income tax rate	34.94%	21.34%
Tax at full rate	(4,787.92)	92.27
Adjustments:		
Provision for diminution in assets value	27.08	8.00
Other deductible items	4,760.84	124.09
Other non deductible items	(4,488.53)	41.12
MAT credit entitlement	-	(224.36)
Total	(4,488.53)	41.13
Income tax expenses reported in the Statement of Profit and Loss for the current year	(4,488.53)	41.13
Deferred tax		
Reconciliation of deferred tax liabilities (net):		
Opening balances as at April 1	1,934.25	1,893.15
Tax income during the year recognised in Statement of Profit and Loss	4,488.53	41.12
Tax income during the year recognised in OCI	1.60	(0.01)
Closing balance as at March 31	6,424.38	1,934.25

The Company offsets the tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority.

During the year March 31, 2018, the Company has paid dividend to its shareholders. This has resulted in payment of Dividend distribution tax ('DDT') to the taxation authorities. The Company believes that DDT represents additional payment to taxation authorities on behalf of the shareholders. Hence DDT paid is charged to equity.

	As at March 31, 2019	As at March 31, 2018
17 Borrowings		
Secured		
Working capital loan from bank	36,176.37	22,050.05
Unsecured		
From corporates	200.00	895.77
Total	36,376.37	22,945.82

17.01 The working capital limit from banks are repayable on demand and carry interest @ BR+2.25%. These are secured by way of first charge ranking pari passu on entire current assets existing as well as future i.e. raw materials, finished goods, semi finished goods, stores and receivables, second pari passu charge on all immovable and movable fixed assets of the company and personal guarantee of promoter director.

17.02 The unsecured loans carry interest ranging from 12% to 15% per annum and repayable within one year. Previous year loans carry interest @ 12% to 15% per annum which have been re-paid/rolled over.

	As at March 31, 2019	As at March 31, 2018
18 Trade payables		
Creditors for raw material and stores		
- total outstanding dues of micro and small enterprises	1.27	-

	- total outstanding dues other than micro and small enterprises	393.80	11,309.16
	Total	395.07	11,309.16
19	Other current financial liabilities		
	Current maturities of long term debt (refer note 14)	5,883.25	4,189.71
	Unpaid dividends	11.45	11.46
	Creditors for capital goods	595.89	1,184.69
	Expenses payable	4,883.64	1,046.12
	Book overdraft	275.19	-
	Total	11,649.42	6,431.98
20	Other current liabilities		
	Statutory dues	342.31	154.16
	Advance from customers	31.20	36.70
	Total	373.51	190.86
21	Provisions-Current		
	Provision for employee benefits:		
	Provision for gratuity (refer note 15)	7.28	7.30
	Provision for leave Benefit (refer note 15)	0.27	1.67
	Other Provisions:		
	Provision for statutory dues (refer note 15)	1,257.49	1,261.00
	Total	1,265.04	1,269.97
22	Current tax liabilities (net)		
	Provision for taxation (net of taxes)	2,522.75	3,431.34
	Total	2,522.75	3,431.34
23	Revenue from operations		
	Sale of non ferrous semis (including excise duty)	45,188.27	78,350.72
	Other operating revenue		
	Job work- non ferrous semis	22.83	54.15
	Miscellaneous sales - operating	-	17.24
	Total	45,211.10	78,422.11
24	Other Income		
	Interest on fixed deposits	80.07	135.09
	Interest on debtors	-	145.62
	Gain on forex differences	51.81	9.33
	Insurance claim received	-	5.00
	Sundry liabilities written off	37.86	-
	Profit on sale of PPE	0.22	13.65
	Custom duty - draw back (export sales)	6.15	116.68
	Incentive against Advance License	51.65	-
	Other Income	0.04	-
	Fair value gain/(loss) on financial instruments at fair value through profit & loss	-	0.55
	Total	227.80	425.92

25	Cost of raw materials & components consumed		
	Consumption of raw material		
	Inventory at the year beginning	6,421.00	7,038.85
	Add : Purchases	40,481.12	62,975.79
	Less : Inventory at the year end	244.23	6,421.00
	Subtotal (A)	46,657.89	63,593.64
	Consumption of consumables		
	Inventory at the year beginning	151.03	172.44
	Add : Purchases	66.59	289.58
	Less : Inventory at the year end	127.18	151.03
	Less : Consumables capitalised	-	-
	Subtotal (B)	90.44	310.99
	Total (A + B)	46,748.33	63,904.63
26	Changes in inventories of finished goods, stock-in -trade and work-in-progress		
	Inventories at the year end (refer note no 6)		
	Finished goods	245.42	2,627.46
	Work-in-progress	10,957.30	10,775.74
	Subtotal (A)	11,202.72	13,403.20
	Inventory at the year beginning (refer note no 6)		
	Finished goods	2,627.46	4,083.03
	Work-in-progress	10,775.74	11,140.85
	Subtotal (B)	13,403.20	15,223.88
	Increase/ (Decrease) (A - B)	(2,200.48)	(1,820.68)
27	Employee benefits expense		
	Salaries and wages (including allowances)	578.26	788.33
	Directors remuneration (including reimbursements)	42.00	42.00
	Contribution towards EPF & FPF	9.79	12.00
	Contribution towards ESI & EDLI	7.29	9.66
	Contribution towards LWF	0.36	0.47
	Gratuity expenses	10.87	15.95
	Leave pay	0.96	2.10
	Staff welfare expenses	9.17	14.35
	Total	658.70	884.86
28	Finance costs		
	Interest on working capital loan	3,517.09	2,921.06
	Interest on unsecured loan	992.74	675.10
	Interest on term loan	868.91	1,190.48
	Other interest	260.33	1,542.92
	Unwinding of discount and effect of changes in discount rate on provisions and liabilities	169.57	76.63
	Total	5,808.64	6,406.19
29	Other expenses		
	Power & fuel	363.50	845.48
	Bank charges and commission	321.94	785.88
	<u>Repair & maintenance</u>		
	For building	0.46	3.61
	For machinery	9.28	14.52
	For others	2.05	3.06

Insurance	36.04	32.57
Legal & professional charges	40.59	147.35
Rent, rates and taxes	31.09	19.83
Travelling & conveyance - Directors (including foreign travel Rs 13,034/-; Previous year Rs 26,66,256/-)	0.15	36.81
Travelling & conveyance - Others (including foreign travel Rs Nil; Previous year - Rs 2,61,105/-)	13.75	42.77
Purchase procurement expenses	1,130.29	7.05
Transportation charges	67.29	129.35
Selling & distribution expenses	498.66	172.95
<u>Payment to auditors</u>		
For statutory audit	7.50	7.50
For tax audit	0.75	0.75
For GST audit	0.60	-
For internal audit, stock audit & due diligence	1.58	0.40
For cost audit	0.80	0.35
Foreign exchange difference	-	4.17
Sundry balance written off	-	37.79
Corporate social responsibility	6.50	31.11
Miscellaneous & administrative expenses	93.28	237.79
Impairment allowance on debtors	40.00	37.50
Total	2,666.10	2,598.59

30 Earning per share (EPS)

The numbers used in calculating basic and diluted earnings are stated below :

Profit for the year after taxation (in lacs))	(9,214.73)	391.28
Weighted average number of shares outstanding during the year	105,000,000	105,000,000
Earnings per share (Basic and Diluted) (Rs.)	(8.78)	0.37
Face value per share (Rs. 2 per share)	2.00	2.00

Earnings per share is calculated by dividing the profit attributable to the equity shareholders by the weighted average number of equity shares outstanding during the year. For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average numbers of shares outstanding during the period are adjusted for the effect of all dilutive potential equity shares.

31 Related Party Disclosures

a) Name of the related party and nature of relationship, where there are transactions

i. Key management personnel and their remuneration:	Nature of relationship	March 31, 2019	March 31, 2018
Mr. R N Pattanayak	Whole time director	42.00	42.00
Mr. Krishan Kumar Mishra	Company secretary	11.90	9.72
Mr. Akshaya Kumar Biswal	Chief financial officer (upto 27.09.2018)	12.26	8.55
ii. Transaction with related parties other than KMP	Nature of relationship	March 31, 2019	March 31, 2018
Arcotech Advanced Metaliks Ltd.	Enterprise significantly influenced by directors or their relatives		

- Sale of goods/job work	31.89	-
- year end balance	Nil	-

Sidhant Distributors Pvt. Ltd. Shareholder

- Loan taken/repaid	3,500.00	-
- year end balance	Nil	-

32 Segment information

The company operates within India and does not have operations in economic environment with different risk and returns. As the company's business activity falls within a single operating segment of manufacturing of " non-ferrous semis" the financial statements are reflective of the information required by Ind As 108 operating segment.

33 Contingent liabilities

Particulars	March 31,2019	March 31,2018
a) Income tax demand	1822.90 lacs	1240.38 lacs
b) Guarantees issued by bank	2637.39 lacs	6309.00 lacs
c) Bonds given by company in favour of custom authorities	-	138.16 lacs

34 As per the information available with the Company transactions have been entered with suppliers as defined under the Micro, Small and Medium Enterprises Development Act, 2006. Therefore, below mentioned disclosure are made as required under the said Act.

Particulars	March 31,2019	March 31,2018
a) Amounts payable to suppliers under MSMED Act,2006		
Principal	1.23 lacs	N.A
Interest due thereon	0.05 lacs	N.A
b) Payments made to suppliers beyond the appointed day during the year		
Principal	1.88 lacs	N.A
Interest paid	Nil	N.A
c) Amount of interest due and payable for the principal which have been paid beyond the appointed date.	0.04 lacs	N.A
d) Amount of interest accrued and remaining unpaid	0.05 lacs	N.A
e) Amount of interest remaining due and payable to suppliers disallowable as deductible expenditure under Income Tax Act, 1961	Nil	N.A

The Company has compiled this information based on intimations received from the suppliers of their status as Micro or Small Enterprises and / or its registration with the appropriate authority under the Micro, Small and Medium Enterprises Development Act, 2006.

35 Corporate Social Responsibility

	March 31,2019	March 31,2018
a) Gross amount required to be spent by the Company as per section 135 of CA, 2013 during the year	67.38 lacs	98.64 lacs
b) Amount spent during the year on the activities mentioned in Schedule VII of the CA, 2013	6.50 lacs	31.11 lacs

36 Disclosures as per Ind AS -16 Plant Property Equipment as on 31.03.2019.

Particulars	Gross Carrying Value	Accumulated Depreciation	Residual Value
Carrying value of idle PPE	1540.88 lacs	1463.84 lacs	77.04 lacs
carrying Value of fully depreciated PPE which is still in use.	3411.00 lacs	3240.45 lacs	170.55 lacs
Carrying Amount of retired PPE which are not held for use.	Nil	Nil	Nil

37 There is no disclosure to be made in the financials of the Company w.r.t. Ind AS 116 on "Leases" which is applicable from April 01, 2019 as there is no lease as on the balance sheet date.

38 Previous years figures have been recast, re-classified, re-grouped wherever considered necessary.

39 Figures in these financial statements are in lacs unless otherwise stated.

40 Financial risk management

Company's business activities are exposed to a variety of financial risks, namely credit risk, interest risk, liquidity risk, market risk.

a) Credit risk

Credit risk is the risk that counterparty will not meet its obligation under financial instrument or customer contract, leading to a financial loss. The Company is exposed to credit risk primarily from trade receivables, other receivables, deposits with banks.

Credit risk management for trade receivables

The customer credit risk is managed subject to the company's established policy, procedure and controls relating to customer credit risk management. In order to contain the business risk, prior to acceptance of an order from a customer, the creditworthiness of the customer is ensured through scrutiny of its financials, if required, market reports, past experience and other factors. The Company remains vigilant and regularly assesses the financial position of customers during execution of contracts with a view to limit risks of delays and default. In view of the industry practice, credit risks from receivables are well contained on an overall basis.

The impairment analysis is performed at each reporting date on an individual basis for major clients. In addition, a large number of minor receivables are grouped into homogeneous groups and assessed for impairment collectively. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets as disclosed in note 7

Provision for expected credit losses

Basis as explained above, apart from specific provisioning against impairment on an individual basis for major customers, the Company provides for expected credit losses (ECL) for other receivables based on historical data of losses, current conditions and forecasts and future economic conditions, including loss of time value of money due to delays. In view of the business model of the Company and the prescribed commercial terms, the determination of provision for expected credit loss is determined for the total trade receivables outstanding as on the reporting date. Considering all such factors, ECL for trade receivables as at year end worked out as follows:

Particulars	March 31,2019	March 31, 2018
Gross receivables	28,376.69	28,927.20
Impairment loss recognised	77.50	37.50
Amounts written off	-	37.79
Balance as at the end of the year	28,299.19	28,851.91

Other receivables, deposits with banks

The management does not expect any losses from non-performance of the above assets. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in note no 8,9,10.

b) Liquidity risk

Liquidity risk is the risk that the Company will face in meeting its obligations associated with its financial liabilities. The Company's approach in managing liquidity is to ensure that it will have sufficient funds to meet its liabilities when due without incurring unacceptable losses. In doing this, management considers both normal and stressed conditions.

The Company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The break-up of cash and cash equivalents, deposits and investments is as below.

Particulars	March 31,2019	March 31, 2018
Cash and cash equivalents	12.15	12.22
Bank balances other than cash and cash equivalents	209.51	2,150.57
Total	221.66	2,162.79

The table below summarises the maturity profile of the Company's financial liabilities at the reporting date:

Financial liabilities (31 March 2019)	On demand	Less than 12 months	1-5 years	Total
Trade payables	-	395.07	-	395.07
Borrowings	-	42,259.62	2,801.93	45,061.55
Other financial liabilities	-	5,766.17	-	5,766.17
Total financial liabilities	-	48,420.86	2,801.93	51,222.79
Financial liabilities (31 March 2018)	On demand	Less than 12 months	1-5 years	Total
Trade payables	-	11,309.16	-	11,309.16
Borrowings	-	27,135.53	7,536.06	34,671.59
Other financial liabilities	-	2,242.27	-	2,242.27
Total financial liabilities	-	40,686.96	7,536.06	48,223.02

c) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise three types of risk: Foreign currency rate risk, Interest rate risk, and other price risk.

Foreign currency risk:

The Company is exposed to foreign exchange risk arising from various currency exposures. Foreign exchange risk arises from future commercial transactions, recognized assets and liabilities denominated in a currency that is not the entity's functional currency.

The Company is not exposed to significant foreign currency risk as at the respective reporting dates.

Interest rate risk:

Interest rate risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate due to changes in market interest rates. The Company's exposure to the risk of changes in interest rates relates primarily to the Company's debt obligations with floating interest rates.

The company's interest rate risk arises due to debt obligation and restricted deposit with bank. The exposure to interest risk is between 11% to 15% p.a. and in relation to restricted deposits is between 6% to 7%. These deposits are earnest money deposit issued by bank on behalf of the company. Restriction on such deposits is realized on the expiry of terms of respective arrangements.

The Company is not exposed to significant interest rate risk as at the respective reporting dates.

Price risk

The Company is mainly exposed to the price risk due to its investment in mutual funds. The price risk arises due to uncertainties about the future market values of these investments.

The Company is not exposed to significant price risk as at the respective reporting dates.

d) Capital management

The Company's objectives when managing capital is to provide maximum returns to shareholders, benefits to other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. The Company manages its capital structure and makes adjustments in light of changes in economic conditions.

The gearing ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity as shown in the balance sheet plus all other equity reserves attributable to equity holders of the Company.

Particulars	March 31,2019	March 31, 2018
Borrowings	45,061.55	34,671.59
Less: Cash and cash equivalents	12.15	12.22
Net debt	45,049.40	34,659.38
Equity	16,098.74	22,701.70
Gearing Ratio (times)	2.80	1.53

41 Fair value measurements

(i) Financial instruments by category

Particulars	March 31,2019			March 31,2018		
	FVTPL	FVTOCI	Amortised cost	FVTPL	FVTOCI	Amortised cost
Financial assets						
Investments	11.57	-	0.89	10.94	-	19.92

Trade receivables	-	-	28,299.19	-	-	28,851.91
Cash and bank balances	-	-	221.66	-	-	2,162.79
Other receivables	-	-	67.47	-	-	66.54
Total financial assets	11.57	-	28,589.21	10.94	-	31,101.16
Financial liabilities						
Borrowings	-	-	45,061.55	-	-	34,671.59
Trade payables	-	-	395.07	-	-	11,309.16
Other payables	-	-	5,766.17	-	-	2,242.27
Total financial liabilities	-	-	51,222.79	-	-	48,223.02

The management assessed that cash and cash equivalents, trade receivables, trade payables and other financial instruments approximate their carrying amounts largely due to the short term maturities of these instruments.

(ii) Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are recognised and measured at fair value. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the accounting standard. An explanation of each level follows underneath the table.

Financial assets and liabilities measured at fair value - recurring fair value measurements

	Note no.	Level 1	Level 2	Level 3	Total
As at 31 March 2019					
Financial assets					
- Investments in mutual funds (unquoted) at FVTPL	3	-	11.57	-	11.57
		-	11.57	-	11.57
As at 31 March 2018					
Financial assets					
- Investments in mutual funds (unquoted) at FVTPL	3	-	10.94	-	10.94
		-	10.94	-	10.94

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

(iii) Valuation technique used to determine fair value

Specific valuation techniques used to value financial instruments include:

- the fair value of the mutual funds is determined using daily NAV as declared for the particular scheme by the Asset Management Company. The fair value estimates are included in Level 2.

42 Employee Benefit Plans

1 Defined benefits plans

The Company has a defined benefit gratuity plan. The Company's defined benefit gratuity plan is a final salary plan for employees, which requires contributions to be made to a separately administered fund.

The gratuity plan is governed by the Payment of Gratuity Act, 1972. Under the act, employee who has completed five years of service is entitled to specific benefit. The level of benefits provided depends on the member's length of service and salary at retirement age.

Risk exposure:

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks as follow -

Salary Increases: Actual salary increases will increase the Plan's liability. Increase in salary increase rate assumption in future valuations will also increase the liability.

Investment Risk: If Plan is funded then assets liabilities mismatch & actual investment return on assets lower than the discount rate assumed at the last valuation date can impact the liability.

Discount Rate: Reduction in discount rate in subsequent valuations can increase the plan's liability.

Mortality & disability: Actual deaths & disability cases proving lower or higher than assumed in the valuation can impact the liabilities.

Withdrawals: Actual withdrawals proving higher or lower than assumed withdrawals and change of withdrawal rates at subsequent valuations can impact Plan's liability.

Disclosure as per Ind AS - 19

The following tables set out the status of the gratuity and leave encashment plan.

Particulars	March 31, 2019		March 31, 2018	
	Gratuity (Non funded)	Leave encashment (Non funded)	Gratuity (Non funded)	Leave encashment (Non funded)
Change in defined benefit obligation				
Defined benefit obligation at beginning of year	65.85	13.39	60.41	11.71
Current service cost	7.22	0.01	11.61	1.28
Interest expense	3.65	0.95	4.35	0.82
Benefit payments from employer	(36.96)	(2.19)	(8.64)	(2.34)
Remeasurements - Due to financial assumptions	0.41	0.01	(0.79)	(0.30)
Remeasurements - Due to experience adjustments	5.62	(10.57)	(1.08)	2.22
Defined benefit obligation at end of year	45.79	1.60	65.85	13.39
Change in fair value of plan assets				
Fair value of plan assets at beginning of year	-	-	-	-
Interest income	-	-	-	-
Employer contributions	-	-	-	-
Employer direct benefit payments	36.96	2.19	8.64	2.34
Employer direct settlement payments	-	-	-	-
Benefit payments from plan assets	-	-	-	-
Benefit payments from employer	(36.96)	(2.19)	(8.64)	(2.34)
Settlement payments from plan assets	-	-	-	-
Settlement payments from employer	-	-	-	-
Others	-	-	-	-

Fair value of plan assets at end of year	-	-	-	-
Present value of defined benefit obligation at the end of the year	45.79	1.60	65.85	13.39
Fair value of plan assets at the end of the year	-	-	-	-
Net liability recognised in the balance sheet	(45.79)	(1.60)	(65.85)	(13.39)
Expenses recognised in statement of profit and loss				
Current service cost	7.22	0.01	11.61	1.28
Interest expense	3.65	0.95	4.35	0.82
Defined benefit cost included in P & L	10.87	0.96	15.95	2.10
Re-measurement gains / (losses) in OCI				
Remeasurements - Due to demographic assumptions	-	-	-	-
Remeasurements - Due to financial assumptions	0.41	0.01	(0.79)	(0.30)
Remeasurements - Due to experience adjustments	5.62	(10.57)	(1.08)	2.22
Return on plan assets (greater) less than discount rate	-	-	-	-
Total expenses routed through OCI	6.03	(10.56)	(1.87)	1.91
Net Defined Benefit Liability / (Asset) reconciliation				
Net defined benefit liability/(asset) at beginning of year	65.85	13.39	60.41	11.71
Defined benefit cost included in P & L	10.87	0.96	15.95	2.10
Total remeasurements included in OCI	6.03	(10.56)	(1.87)	1.91
Employer direct benefit payments	(36.96)	(2.19)	(8.64)	(2.34)
Net defined benefit liability / (asset) at end of year	45.79	1.60	65.85	13.39
Actuarial assumptions				
Discount rate	7.70%	7.70%	7.75%	7.75%
Salary increase	6.00%	6.00%	6.00%	6.00%
Expected rate of return on plan assets	N/A	N/A	N/A	N/A
Mortality table	IALM (2006-08)	IALM (2006-08)	IALM (2006-08)	IALM (2006-08)
Disability rate	5% of mortality rate	5% of mortality rate	5% of mortality rate	5% of mortality rate
Retirement age	58 years	58 years	58 years	58 years
Withdrawal rates, based on age (per annum)				
Upto 25 Years	8.00%	8.00%	8.00%	8.00%
26 to 30 Years	7.00%	7.00%	7.00%	7.00%
31 to 35 Years	6.00%	6.00%	6.00%	6.00%
36 to 40 Years	5.00%	5.00%	5.00%	5.00%
41 to 45 Years	4.00%	4.00%	4.00%	4.00%
46 to 50 Years	3.00%	3.00%	3.00%	3.00%
51 to 55 Years	2.00%	2.00%	2.00%	2.00%
Above 56 Years	1.00%	1.00%	1.00%	1.00%

Sensitivity Analysis

Discount rate, salary escalation rate and withdrawal rate are significant actuarial assumptions. The change in the present value of defined benefit obligation for a change of 100 basis points from the assumed assumption is given below

Gratuity sensitivity analysis :

Particulars	March 31,2019		March 31,2018	
Salary escalation	(Up by 1%) 50.05	(Down by 1%) 42.08	(Up by 1%) 72.50	(Down by 1%) 60.08
Withdrawal rates	(Up by 1%) 46.17	(Down by 1%) 45.34	(Up by 1%) 66.50	(Down by 1%) 65.09
Discount rates	(Up by 1%) 42.26	(Down by 1%) 49.90	(Up by 1%) 60.42	(Down by 1%) 72.19

Leave encashment sensitivity analysis :

Particulars	March 31,2019		March 31,2018	
Salary escalation	(Up by 1%) 1.75	(Down by 1%) 1.47	(Up by 1%) 14.75	(Down by 1%) 12.21
Withdrawal rates	(Up by 1%) 1.62	(Down by 1%) 1.58	(Up by 1%) 13.57	(Down by 1%) 13.18
Discount rates	(Up by 1%) 1.48	(Down by 1%) 1.74	(Up by 1%) 12.28	(Down by 1%) 14.69

2 Defined contribution plans

The Company makes contribution towards provident fund and employees' state insurance plan scheme for qualifying employees. Under the schemes, the Company is required to contribute a specified percentage of payroll cost, as specified in the rules of the schemes, to these defined contribution schemes.

The Company has recognised for contributions to these plans in the statement of profit and loss as under :

Particulars	March 31, 2019	March 31, 2018
Company's contribution to provident fund	9.79	12.00
Company's contribution to employee state insurance	7.29	9.66
Total	17.08	21.66

As per our report of even date

For and on behalf of the board

For Amit Joshi & Associates
Chartered Accountants
FRN: 004898N

A.K.Saraf
Chairman
DIN :00057323

R.N.Pattanayak
Whole Time Director
DIN:01189370

S.L.Mohan
Director
DIN:00028126

Sanjay Joshi
Partner
Membership No.084687

R.D.Tayal
Director
DIN :00021148

Suresh Thakur
Director
DIN:00702975

Maninder Kohli
Director
DIN:01173387

Place:New Delhi
Date: 29.05.2019

Krishan Kumar Mishra
Company Secretary
M.No: ACS 25496

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